BBR

BULL & BEAR RESEARCH

Spring 2026 Industrials Outlook

Transportation & Logistics

BBR I BULL & BEAR INDUSTRIALS

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INTRODUCTION

Current Industrials Landscape

The BBR Team sees sector performance this year being shaped by three forces: unprecedented trade disruption from increased tariff policies under Trump's Administration, the rapid integration of AI and automation across supply chain operations, and a Federal Reserve that is gradually easing its stance while continuing to monitor inflation risks. As a result, the industrials landscape is undergoing fundamental restructuring. Companies are moving facilities and reshaping logistics in response to shifting trade flows, investing in more automation to offset labor constraints, and are focusing on operational efficiency amid decreased shipping prices. Strategic decisions are increasingly shaped by nearshoring trends and tariff exposure, while tighter capacity pressures continue to drive consolidation and partnership activity. Overall, the sector is facing a period heightened market volatility that is changing shipping economics, competitive positioning, and the future shape of global supply chains.

Valuations Remain Elevated

Largely, the market is trading at elevated levels. P/E ratios have climbed to 30.7x, well above the above the three-year average of 27.5x. Moreover, investors have looked past tariff uncertainty and volatile trade policy shifts. In industrials specifically we are seeing sectors of outperformance, and sectors in perpetual downcycles. The BBR rationalization for high industrials valuations is because of three primary macroeconomic tailwinds. Firstly, the big beautiful bill, allowing for a lower corporate tax rate, and therefore higher bottom line margins. Secondly, rate cuts are now being priced in before they even happen. Companies and financial institutions alike are under the impression that if they do not execute on projects, they will fall behind, driving more capex expansion, and an irrelevance to the cash flow statement from a public market perspective. Finally, new depreciation rules allow for companies to depreciate long term assets at a faster rate, meaning that they will ultimately have a stronger bottom line as depreciation is a pre-tax expense, leading to more capex execution in tandem with fear of getting left behind.

Capex Trends

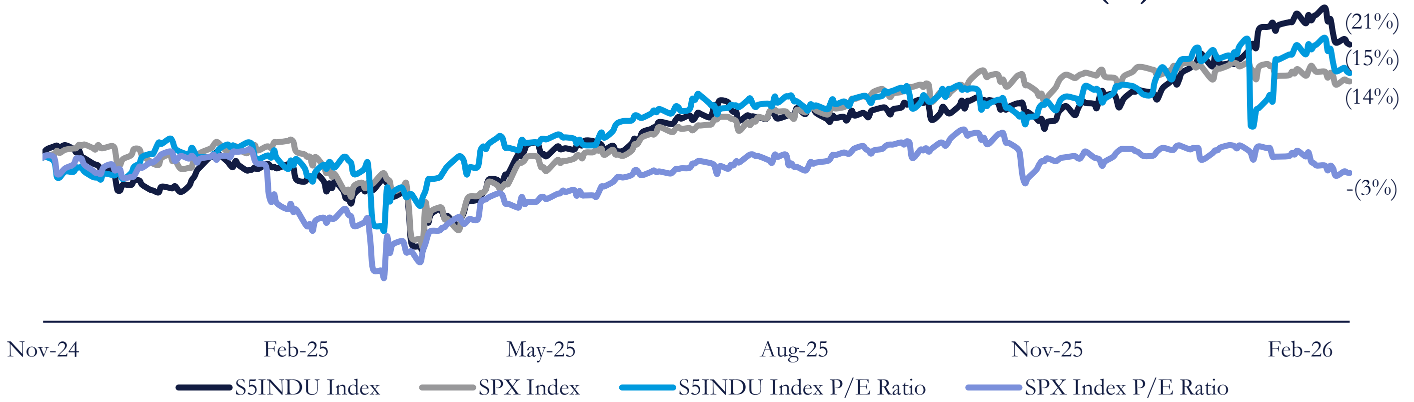
Capex growth across industrials is uneven but accelerating in specific sections, with three subsectors seeing the strongest lift from structural tailwinds.

Infrastructure/Renewables/Utilities [XLU, PBW]: Electrification- and infrastructure-focused companies are benefiting most from the AI datacenter buildout, driving major investment in grid capacity, power systems, and heavy equipment to meet rising demand.

Capital Goods/Automation [ROBO, XAR]: Automation and equipment suppliers are seeing increased capex as firms invest in robotics and advanced manufacturing to offset labor constraints.

Manufacturing (Durable Goods) / Equipment & Structures [XLI]: Spending is rising as manufacturers upgrade facilities and equipment to support reshoring and higher-value domestic production.

S&P 500 vs S&P Industrials Index Performance (%)



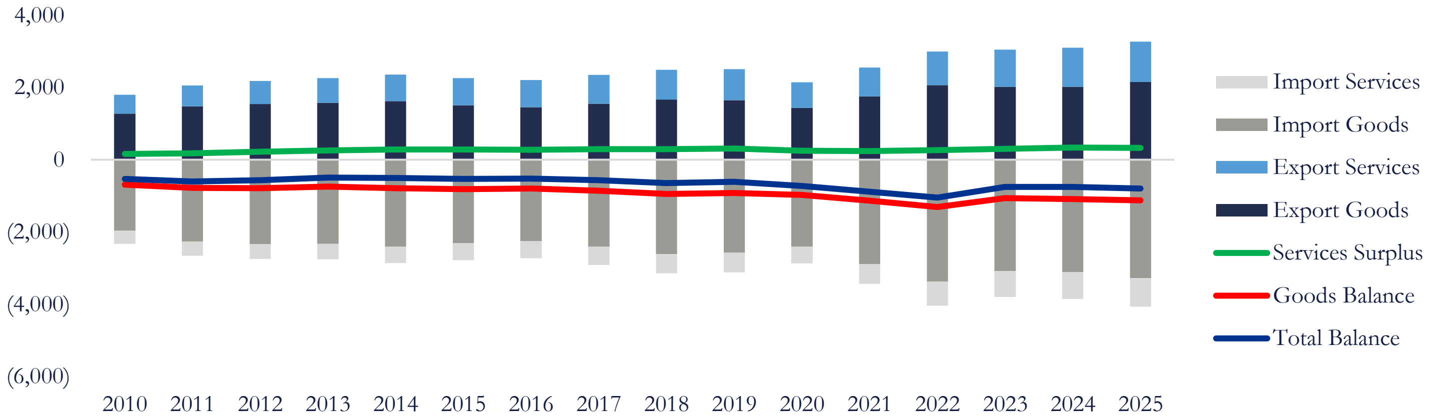
Sources: Bloomberg, Deloitte Industrials, McKinsey & Company

IMPACT OF TARIFFS

Supply Chain Realignment

Tariffs are fundamentally reshaping how industrial companies manage their supply chains. Firms across the sector are actively becoming less dependent on China by expanding production to Mexico and other allied countries. This transition comes with a cost; companies are accepting higher costs in exchange for more reliable and secure supply networks. At the same time, domestic manufacturing of metals, components, and key materials is experiencing a wave of renewed investment as industrial players move to reduce themselves from tariff risk. The ripple effects are becoming increasingly clear. Rerouting supply chains means longer shipping routes and higher freight costs, and uncertainty around trade policy is forcing companies to plan further ahead and stockpile more inventory. Together, these pressures are driving up costs as companies work to build a more resilient supply chain.

US Trade Balance ($M)



Updated Tariff Timeline

1Q: *Security Revived*

March 26 | 25% global tariff on automobiles/certain auto parts
Trump imposed a 25% tariff on imported cars & trucks effective April 3, and specified parts effect May 3.
April 2, 2025 | "Reciprocal tariff" framework EO
Liberation Day: reciprocal tariffs program to address partners with persistent goods trade surpluses with the US.

2Q: *Acceleration*

June 3, 2025 | Steel and aluminum raised to 50% (Section 232)
Proclamation increases prior Section 232 tariff rates on steel and aluminum articles and derivatives.
June 16 & 30, 2025 | Implementation carveouts and UK TRQ detail Tariff rate quotas and part classifications announced, including treatment for UK autos/parts under bilateral deal.

3Q: *Industry Shielding*

July 30, 2025 | Copper: 50% Tariff on specified semi-finished copper products
Imposing 50% tariff effective August 1 on certain copper products (excludes ores, concentrates, cathodes, & anodes).
September 30, 2025 | Timber, lumber, and wood furniture tariffs
Announcement of tariffs including 10% on softwood lumber and higher rates on cabinets & wood furniture.

4Q: *Negotiation Phase*

November 2025 | U.S.–China Trade Discussions & Targeted Exclusions
Limited tariff exceptions eased short-term supply pressures while preserving U.S. leverage.
December 2025 | Tariff Scope Clarifications & Implementation Adjustments
Government made tariff rules cleared and allowed some exceptions, easing tensions for companies in the short term.

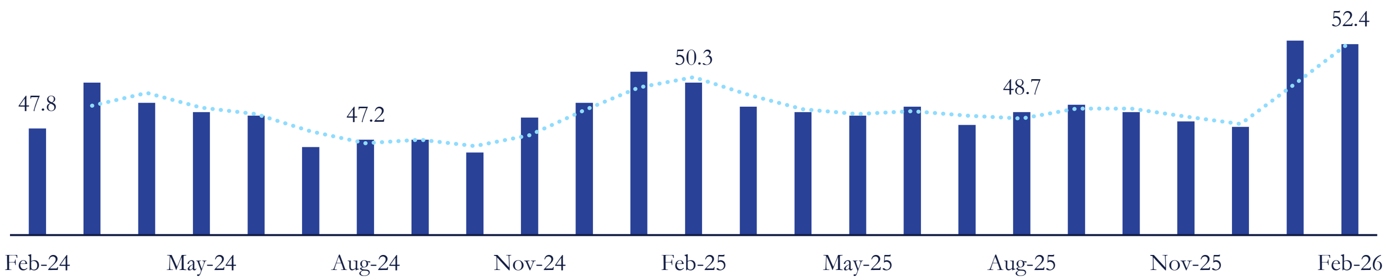
Sources: BEA: U.S International Trade in Goods and Services, The White House, USITC, World Trade Organization

MACROECONOMICS

Is the Industrials Economy Healthy?

Assessing the sector, the industrials economy is showing growth, but with a fragile foundation. Activity is picking up, but employment and margins continue facing pressure. As of December 2025, U.S. manufacturing employment is down 68,000 jobs YoY. Supporting this difficult labor market, manufacturing job openings stayed flat at 433,000, up only 2,000 YoY, though a 34,000 month jump from November. As a sector there's a clear disconnect happening. Orders are coming in strong, yet companies keep cutting more workers than they hire, reflecting AI-driven efficiencies. In January 2026, ISM Manufacturing PMI hit 52.6, marking the first month of expansion in a year. This was driven by New Order Index jumping to 57.1 and Production Index climbing to 55.9, it's highest since February 2022. This growth may not be sustainable, as customer inventories dropped to 38.7, forcing buyers to restock out of necessity. January is also typically a reorder month after the holidays. Cost pressures aren't letting up either. The Price Index hit 59.0 in January, while PPI rose 2.29% YoY in December 2025.

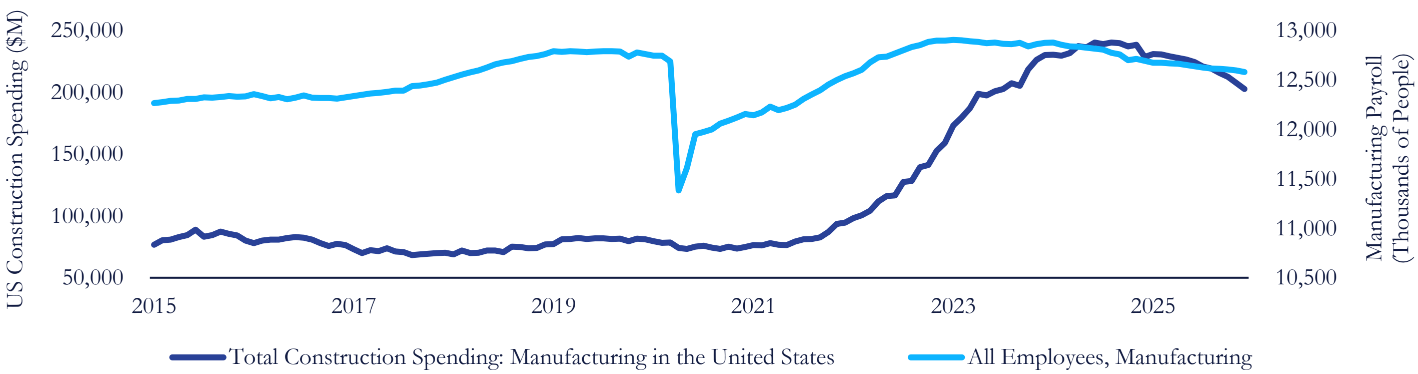
Manufacturing PMI Feb/Mar 24 – Feb/Mar 26



Industrials Labor Market Status

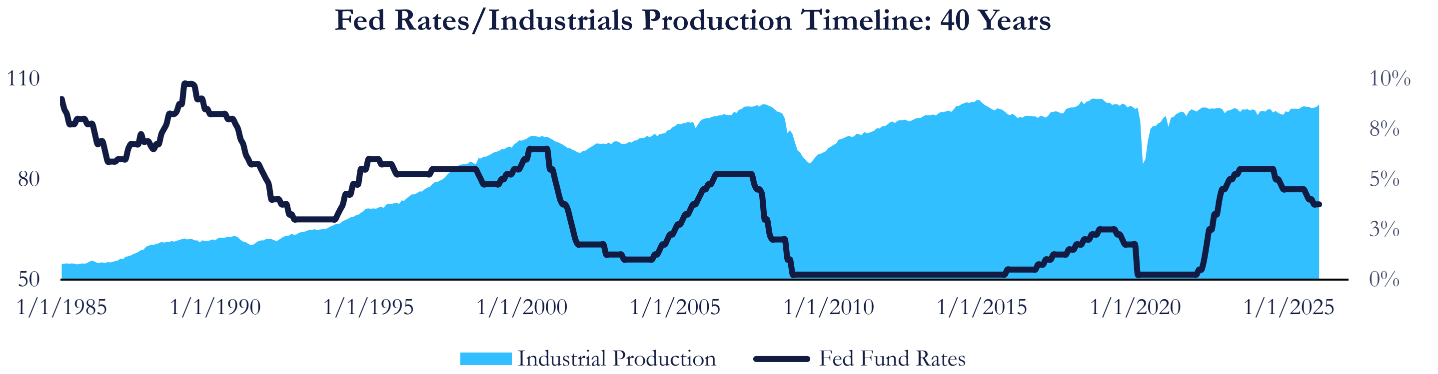
The manufacturing labor market is contradicting, though job openings are steadily growing, signaling a skill and geographic mismatch. Companies are struggling to find qualified workers, particularly in their designated areas. As manufacturers adopt AI automation, they increasingly seek employees of a higher skillset, that people new to the job force often lack. The combination of AI adoption and reshoring creates a paradox. Companies need workers for factories being brought back to the U.S., but the pool of skilled labor remains insufficient. This disconnect is evident in the 68,000 YoY decrease in employment alongside a 2,000 YoY increase in job openings. Efforts to correct this skill mismatch have long lead times, urging employers away from hiring. The manufacturing production job force is also made up of 25% of immigrant workers. With tightening immigration policy, the sector can be expected to experience a large decrease in employment.

Manufacturing US Payroll Vs. Manufacturing Construction Spending



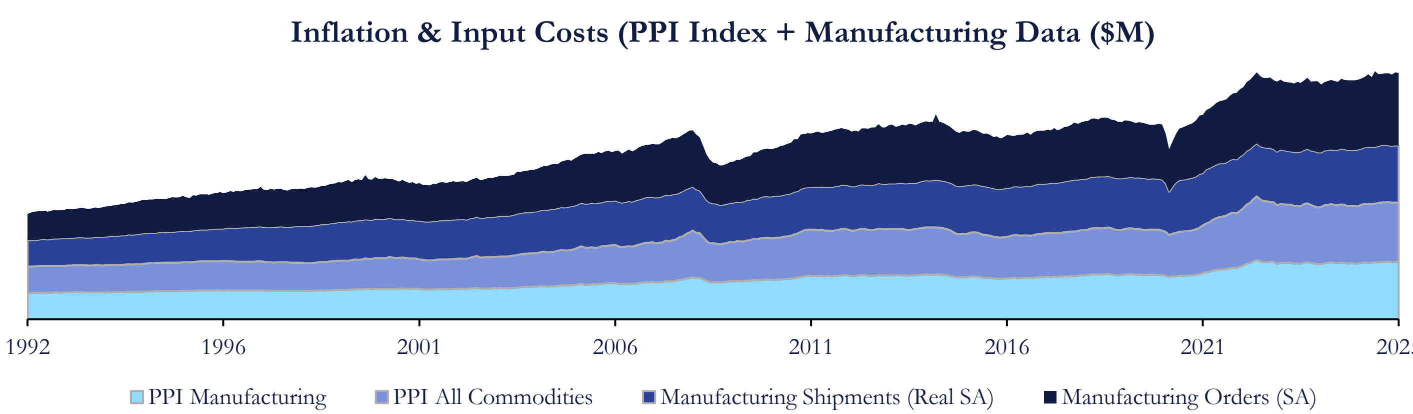
Sources: Deloitte, Federal Reserve Economic Data, ISM, U.S. Bureau of Labor Statistics

HISTORY OF MONETARY POLICY



Where We Are Headed Now

Macroeconomic statistics are mixed but improving payrolls rebounded to 130,000 in January after averaging just 15,000 per month in 2025, manufacturing PMI has crossed back into expansion for the first time in over two years, yet tariff policy remains volatile and the Fed is holding steady at 3.50–3.75 percent. While this is creating noise, our view is that U.S. industrials are entering an inflection, backed by the full deployment of The Big Beautiful Bill. The bill will lower the corporate tax rate, a consistently dovish FED with data to support, and therefore firms that want to hire employees, backed by the desire of companies to execute and finalize orders on projects. Industrials remain the backbone, and foundation to U.S. security, the AI Buildout, onshoring of U.S. manufacturing, and navigation of logistics and political instability. Many expect a U.S. economic inflection in 1H 2026. If these tailwinds materialize, industrials will likely be the first sector where activity and valuations normalize.



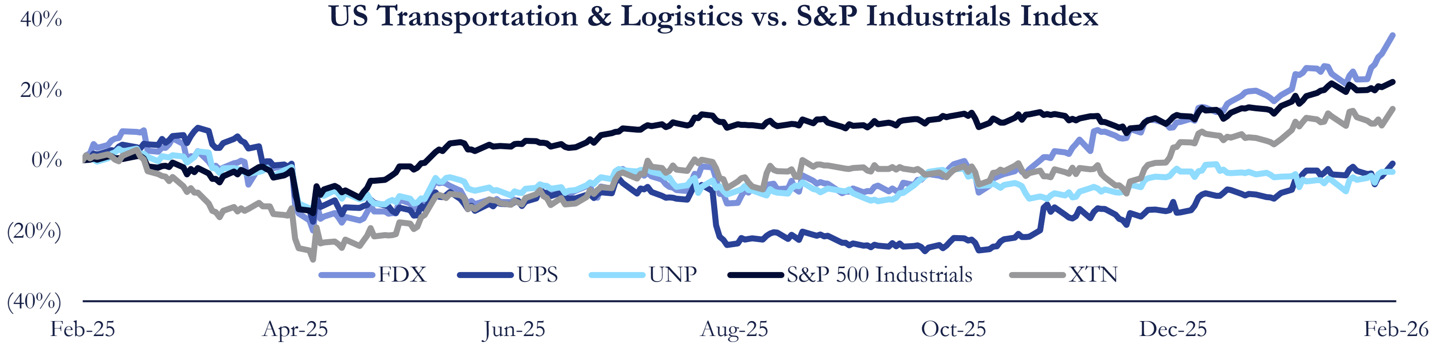
Restrictive Monetary Policy and Industrial Impact

The Federal Reserve's approach remains somewhat restrictive, though less so than in the past. Following a total reduction of 75 basis points in late 2025, the FOMC's position has shifted from a moderately restrictive one toward a more neutral stance. Even with interest rates still relatively high, the industrial sector has been showing surprisingly strong performance. The sector posted a staggering 27% earnings growth in Q4 2025 and will only grow in 2026. That said. The current interest rate climate presents certain challenges. Increased borrowing expenses could negatively impact the sector, potentially curtailing both business and consumer expenditures. This is especially true for industries such as construction and capital-heavy manufacturing. Experts have observed that persistently high interest rates might eventually lead to a slowdown in private-sector construction. Furthermore, a lackluster domestic housing market, coupled with uncertainties regarding the labor market's strength, suggests the potential for cyclical downturns in specific areas of the sector. While monetary policy remains modestly restrictive, industrials continue to benefit from structural tailwinds, though sustained high rates could threaten their durability.

Sources: Federal Reserve Bank of St. Louis (FRED), Institute for Supply Management, U.S. Bureau of Labor Statistics, U.S. Census Bureau

PERFORMANCE ANALYSIS

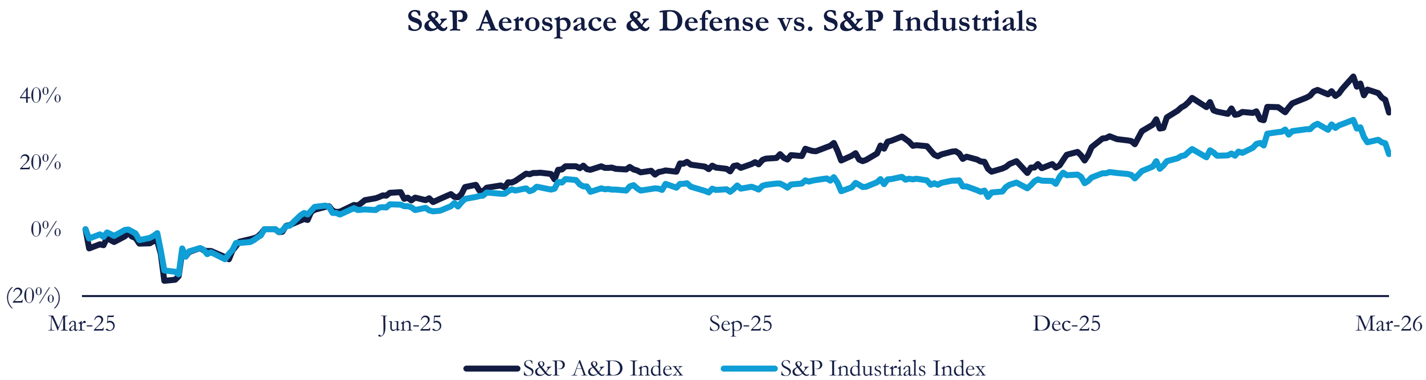
Transportation & Logistics



Our Perspective

Transportation and Logistics is positioned for strong growth in the coming year and has exhibited initial financial strength in November 2025, outperforming the S&P 500 and continuing to widen the performance gap between the two. The sector is facing difficulties pertaining to geopolitical pressures, and tariff and policy uncertainty, though AI and E-commerce expansion present opportunities for high growth in the coming year. Technology integration is evolving beyond pilot programs focused on planning solutions and is scaling to manage work and cut congestion. Even with high policy uncertainty, trade in the logistics industry is expected to exhibit the same or higher growth than last year, with top growth drivers being new market entry, deployment of AI and improving infrastructure and transport capacity. With growth in long-term revenue solutions for funding, Transportation and Logistics should be able to successfully execute significant infrastructure capacity.

Aerospace & Defense Outpaces Broad Industrials



The Role of AI Within Transportation & Logistics

AI integration is becoming less of a conversation of whether implementation is necessary, but rather what strategy of deployment is most beneficial. Companies that successfully incorporate AI into legacy systems, can transform workflows and unlock operational efficiencies. A number of industrial organizations remain constrained by fragmented data environments and outdated systems, making development of strong data and analytics foundations critical in realizing AI's full potential. Manufacturing companies have the ability to optimize inventory management, resource allocation, and supply chain operations while streamlining decision making. As adoption scales, AI efficiencies are expected to increase overall EBIT margins in the Industrials sector by 12%. Firms that deploy these capabilities effectively will be able to stay competitive and better position themselves for long-term sustainability.

Sources: Bloomberg, Clifton Larson Allen, World Economic Forum

THE BBR VIEW

Where Industrials is Heading

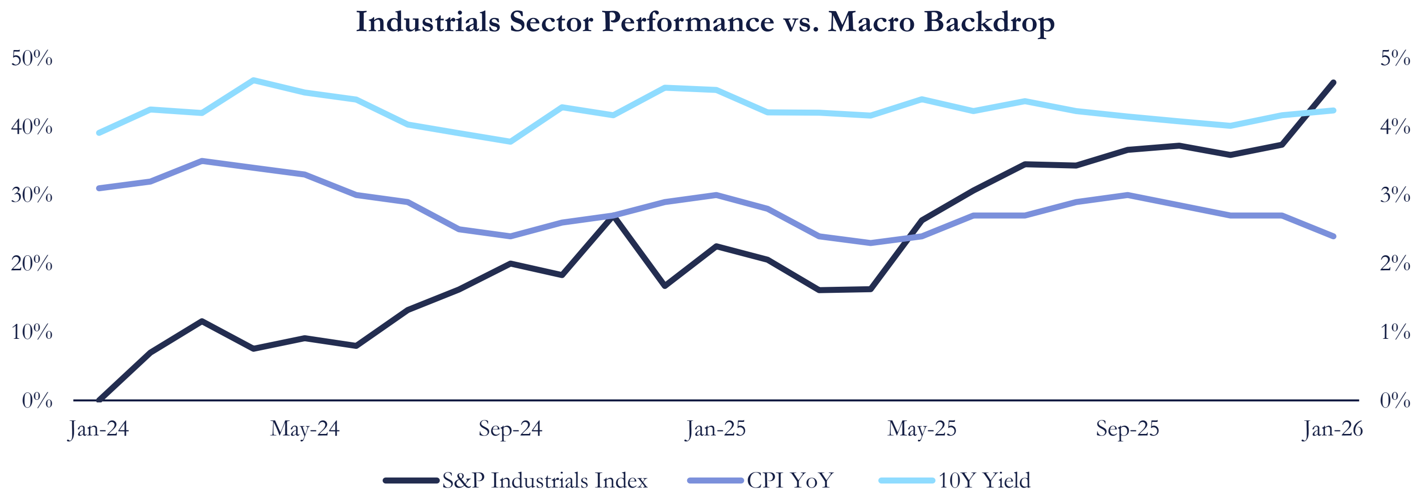
Our team sees the industrials sector underperforming in 2026 due to elevated input costs driven by tariffs, choppy consumer confidence, and an outlook of persistent interest rates. With new fed chair nomination, Kevin Warsh, hawkish background our team does not see rate cuts favoring the sector in the coming year. However, industrials remains to be the backbone of the U.S. economy and if expected rate cuts in the later portion of the year come to fruition and geopolitical pressures calm, there could be an inflection point with consumer confidence and supply chain reinvestment. The industrials sector is predominantly consumer driven and if interest rates remain sticky, margins will remain under pressure.

Tailwinds

There are several factors that lead to optimism within the industrials sector and could be seen as tailwinds. Due to geopolitical risk and advantageous government policies, many companies are relocating production to domestic sites from overseas. As many developed economies continue to address years of underinvestment in infrastructure, significant modernization efforts and large-scale projects are creating sustained demand for the movement of construction materials, equipment, and project cargo across transportation networks. Industrial and logistics firms are also investing heavily in digitalization, automation, and AI-driven systems to improve efficiency, optimize routing, and enhance capacity utilization. As sustainability remains central to corporate strategy, companies that enable lower-carbon transportation solutions – including rail, intermodal, and clean logistics technologies – are well positioned to benefit. Lastly, as the sector moves further beyond the COVID-19 pandemic, supply chain disruptions and inventory imbalances have largely eased, supporting more stable operations.

Headwinds

While the long-term structural case for transportation and logistics remains intact, the near-term backdrop presents many meaningful challenges. Tariff-driven trade uncertainty has softened freight demand across all modes, as shippers delay shipments, reduce order sizes, and restructure supply chains in response to shifting cross-border trade policy. Parcel and express carriers face additional pressure from sluggish consumer confidence, which has reduced package volumes and eroded pricing power. Geopolitical instability in the Middle East adds a significant cost-side headwind, as sustained attacks in the Red Sea have forced ocean carriers to reroute around Africa, driving up fuel, crew, and insurance costs on key Asia-Europe and Asia-U.S. trade lanes. Any escalation involving the Strait of Hormuz compounds this further, introducing fuel cost volatility that ripples across every mode of transport. Tightening emissions regulations and fleet electrification mandates also present a growing cost burden, particularly for carriers and operators that must invest heavily in cleaner technologies to remain compliant while managing compressed margins.



Sources: Barclays, Bloomberg, CNBC, S&P Capital IQ

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Industrials M&A Activity

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Nippon Steel (NPSCY) acquisition of US Steel (X)

Transaction Overview

NPSCY completed its acquisition of X through an all-cash transaction on June 18, 2025. The deal marks significant consolidation in the steel production industry and positions NPSCY to be the globe's second largest steelmaker with 86 million tons of capacity.

Strategic Rationale

NPSCY gained direct access to the North American market, avoiding tariffs and trade barriers that formerly limited Japanese steel exports. The deal also includes an $11 billion US investment commitment by 2028.

Target Snapshot

US Steel is an iconic American steelmaker founded in 1901 and headquartered in Pittsburgh, PA. It operated integrated steel mills, electric arc furnace mini mills, and the company was the world's 27th-largest steel producer (3rd in the US) prior to the acquisition.

Impact on Acquirer

The deal gives NPSCY a tariff-protected domestic production base in the US, and deploying Nippon's proprietary steelmaking and decarbonization technologies across upgraded American facilities should drive meaningful margin expansion and accelerate the path to the company's $6.5 billion business profit target.

Risks to Consider

The $14.9 billion cash outlay and $1.5 billion in near-term restructuring charges will pressure NPSCY's earnings and increase leverage, though D/E is expected to hold around 0.7x.

Deal Terms

Transaction Type	All-cash acquisition
Price per Share	$55 per share
Equity Value	$14.1 billion
Enterprise Value	$14.9 billion
Financing	Fully funded via cash and bridge financing
Close Date	June 18, 2025

NPSCY Info

NPSCY (acq)	2023A	2024A	2025A
Revenue	$59.0B	$61.2B	$57.4B
Operating Margin	9.10%	6.41%	4.59%
Profit Margin	16.2%	15.6%	15.8%

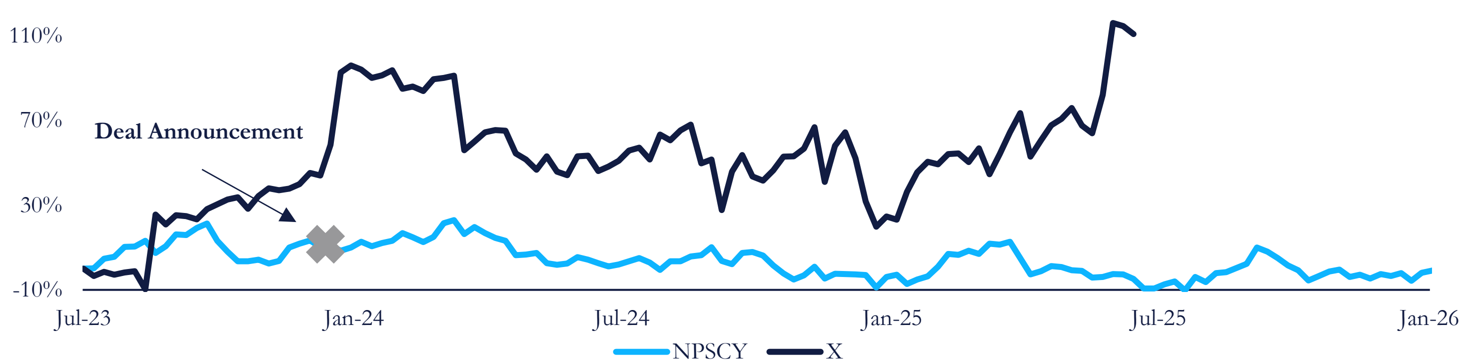
Comparable Transactions

M&A Deal	EV	EV/EBITDA	Premium
Cleveland-Cliffs acquires Stelco (2024)	$2.5B	4.8x	71%
US Steel acquires Big River Steel (2021)	$1.5B	5.0x	N/A
Mittal Steel acquires Arcelor (2006)	$32.9B	6.2x	55%

NPSCY Stock Info

Market Cap (B)	$19.5	Free Float	87.5%
Shares Outs. (mm)	5,373	Dividend Yield	4.18%

NPSCY vs. X Stock Price YoY (Normalized)



Devon Energy (DVN) acquisition of Coterra (CTRA)

Transaction Overview

DVN and CTRA have entered an agreement to merge through an all-stock transaction, along with a headquarter relocation to Houston, Texas. Concluding this merger DVN will be a major entity in the U.S. shale industry with an estimated combined EV ~$60B.

Strategic Rationale

Devon Energy will be the clear leader in the Delaware Basin, with 750,000 net acres, production of 860,000 Barrels of Oil a Day, and over a decade of high-return development opportunities at current activity levels.

Target Snapshot

Coterra is a diversified oil and gas company incorporated in 1989 and headquartered in Houston, Texas. It produces crude oil, natural gas and natural gas liquids, operating primarily in Basins across Texas, New Mexico, Oklahoma and Pennsylvania.

Impact on Acquirer

Following the Merger, Devon energy will one of the world's leading shale producers. Combining both organizations AI capabilities, the merger will allow Devon Energy to further optimize their operations, reaching their target of $1 billion in pretax synergies by year-end 2027.

Timeline & Risks to Consider

Deal was announced on February 2, 2026, with an expected close concluding quarter 2 2026. Though Devon is diversifying into new basins it remains concentrated in the U.S., sensitive to commodity price swings and regulatory changes.

Deal Terms

Transaction Type	All Stock
Price per Share	.70 Share of Devon for each share of Coterra
Equity Value	$21.4 billion
Enterprise Value	$58 billion
Financing	All stock
Expected Close	Q2 2026

Devon Energy Info

DVN	2023A	2024A	2025A
Revenue	$15.3B	$15.9B	$17.2B
Operating Margin	32.3%	25.5%	22.2%
Profit Margin	24.8%	18.5%	15.6%

Coterra Info

CTRA	2023A	2024A	2025A
Revenue	$5.9B	$5.5B	$7.6B
Operating Margin	36.4%	25.4%	32.1%
Profit Margin	27.5%	20.5%	22.5%

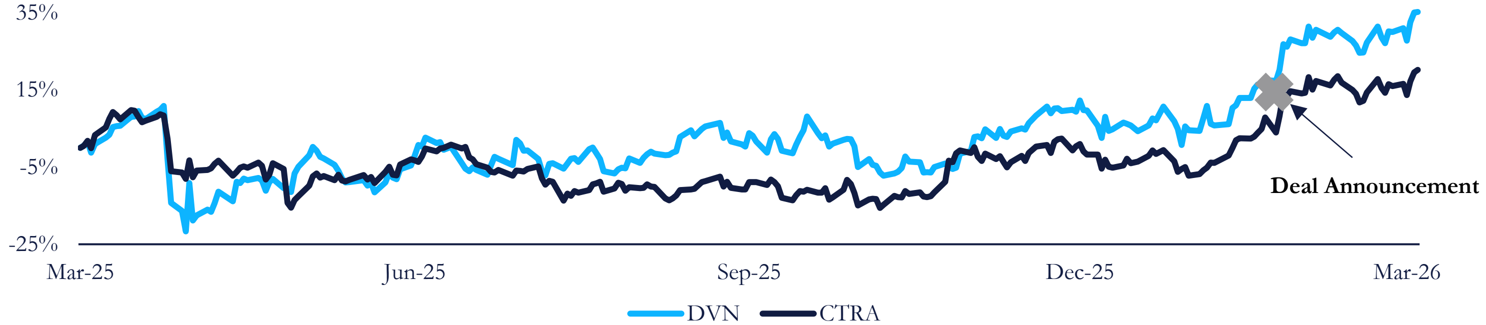
DVN Stock Info

Market Cap (B)	$28.92
Shares Outs. (mm)	620
Free Float	99.2%
Dividend Yield	2.1%

CTRA Stock Info

Market Cap (B)	$24.58
Shares Outs. (mm)	759
Free Float	97.2%
Dividend Yield	2.7%

DVN vs. CTRA Stock Price YoY (Normalized)



Sources: Company Filings, S&P Capital IQ, Yahoo Finance

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Home Depot (HD) acquisition of GMS (GMS)

Transaction Overview

Home Depot is acquiring GMS in an all-cash transaction that helps expand its professional contractor ecosystem and strengthens its specialty materials distribution. The deal positions Home Depot to deepen Pro relationships and enhance jobsite delivery.

Strategic Rationale

For Home Depot, the acquisition provides a scaled specialty distribution platform with strong contractor relationships, recurring demand, and opportunities for supply chain and Pro ecosystem expansion

Target Snapshot

GMS is a leading North American distributor of specialty building products, including drywall, ceilings, steel framing, and insulation. The company serves contractors across commercial and residential construction through job site delivery.

Impact on Acquirer

The deal gives Home Depot a fully integrated distribution platform for the professional contractor segment, and leveraging GMS's specialized delivery network across its existing Pro ecosystem should boost market share. The main risk is losing GMS's existing customers during the transition.

Timeline & Risks to Consider

Next Steps include regulatory approval and integration. From there, the biggest challenges are merging the two companies smoothly, staying profitable if construction slows down, and making sure GMS's contractors don't take their business elsewhere.

Deal Terms

Transaction Type	All cash
Price per Share	$110 per share
Equity Value	$4.3 billion
Enterprise Value	$5.5 billion
Financing	Cash on hand and debt
Close Date	September 3, 2025

Home Depot Info

HD	2023A	2024A	2025A
Revenue	$152.7B	$159.5B	$164.7B
Operating Margin	14.2%	13.5%	12.7%
Profit Margin	9.9%	9.3%	8.6%

GMS Info

GMS	2023A	2024A	2025A
Revenue	$5.3B	$5.5B	$5.5B
Operating Margin	9.5%	8.0%	4.7%
Profit Margin	6.2%	5.0%	2.1%

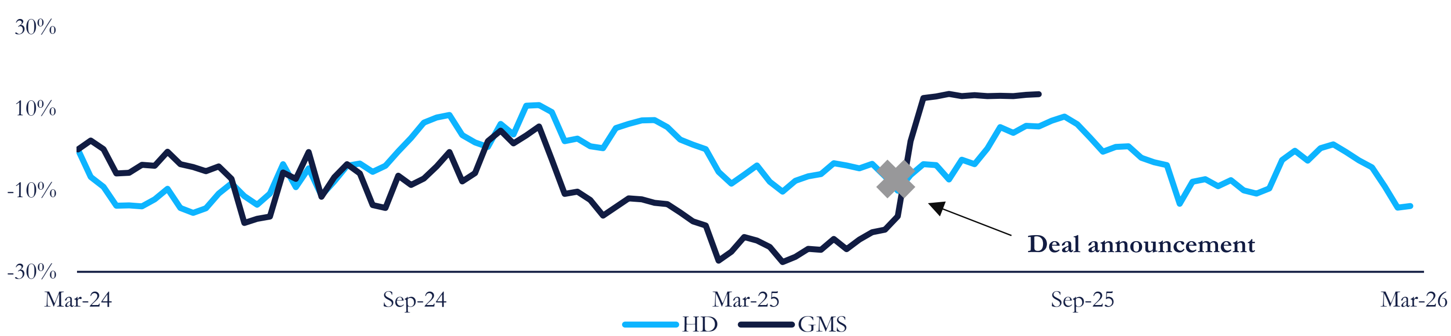
HD Stock Info

Market Cap (B)	$341.3
Shares Outs. (mm)	996
Free Float	99.6%
Dividend Yield	2.5%

GMS Stock Info

Market Cap (B)	$4.2
Shares Outs. (mm)	38
Free Float	90.0%
Dividend Yield	0.0%

HD vs. GMS Stock Price YoY (Normalized)



Sources: Company Filings, S&P Capital IQ, Yahoo Finance

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Public Market Coverage

TRANSPORTATION AND LOGISTICS

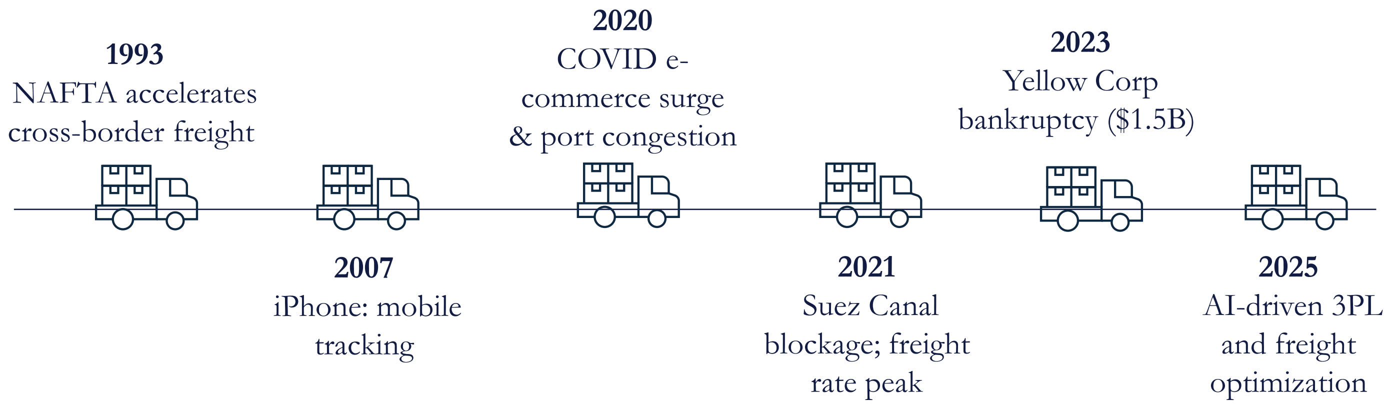
Logistics Overview

Transportation and logistics encompasses the movement, storage, and management of goods across global supply chains via road, rail, ocean, and air, touching every industry from retail to energy. The global logistics market is valued at approximately $11.2 trillion in 2025, projected to grow at an 8% CAGR through 2034, driven by e-commerce growth, nearshoring, and infrastructure investment across North America and Asia-Pacific. The U.S. market is in an early-stage freight cycle recovery heading into 2026. Trucking, the dominant mode at 64% of domestic freight revenue, endured a prolonged downturn, but carrier exits have begun to structurally tighten capacity, with contract and spot rates now inflecting upward. Key tailwinds include AI-driven optimization and 3PL outsourcing growth; headwinds include tariff-driven volume uncertainty and labor shortages.

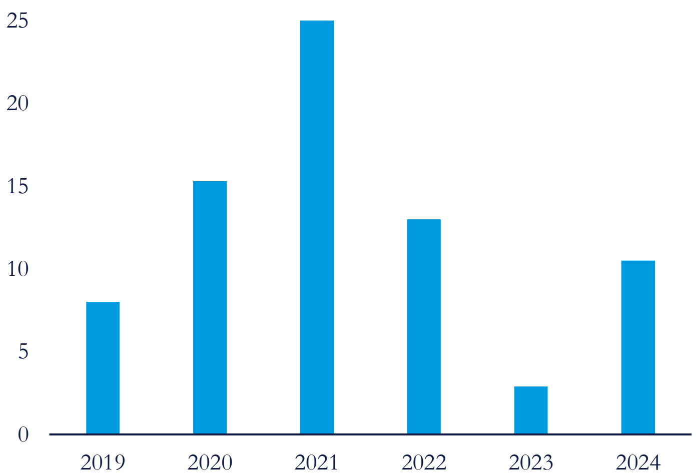
Key Terms: Transportation and Logistics

Less-Than-Truckload (LTL): Freight service where multiple shippers share truck space for smaller loads. **Third-Party Logistics (3PL):** Outsourced logistics management covering warehousing, fulfillment, and transport. The fastest-growing segment of the market. **Twenty-Foot Equivalent Unit (TEU):** The standard measure of ocean container capacity. Global ocean capacity is growing at 3.7% in 2026, sustaining an oversupply environment that pressures freight rates **Spot Rate vs. Contract Rate:** Spot rates reflect real-time market pricing; contract rates are negotiated annually. The spread between the two is a leading indicator of freight cycle turns, when spot rates rise above contract, a broad rate recovery typically follows. **Last-Mile Delivery:** The final leg of the supply chain from distribution hub to end. The highest-cost segment and most active for M&A and VC investment.

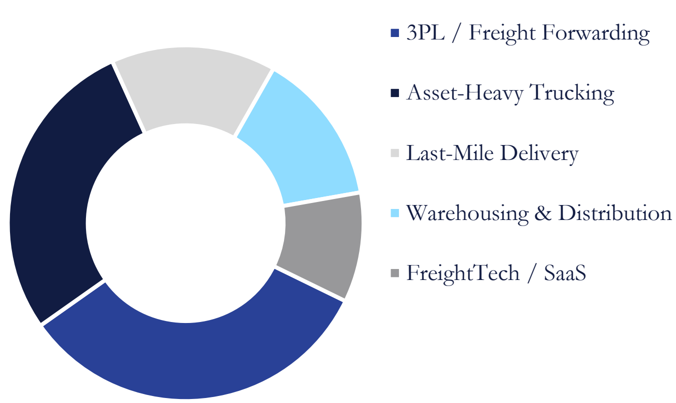
Key Milestones in Transportation & Logistics



VC Investment in Logistics ($B)



U.S. T&L M&A Activity by Segment



FREIGHT MODES OVERVIEW

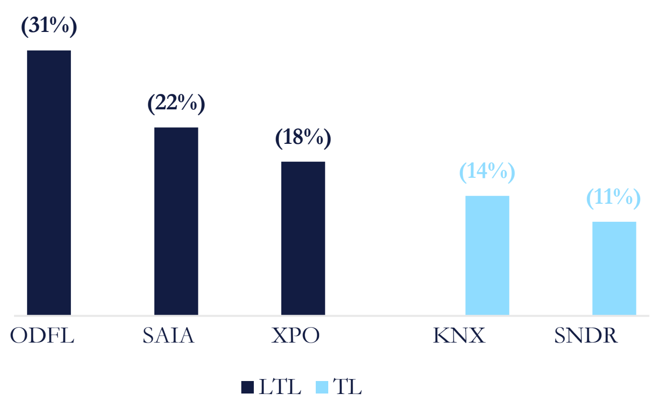
Overview

Freight Modes differ in cost, speed, and capacity, shaping shipper decisions and carrier pricing power. Changes in freight distribution across TL, LTL, intermodal, air, and ocean transport drive earnings performance and volatility.

Truck (TL & LTL)

Truckload freight is highly cyclical and sensitive to spot-rate fluctuations, reflecting changes in consumer demand and inventory levels. Moreover, excess capacity, as seen in the current freight downturn, has pressured TL pricing and margins. In contrast, LTL carriers benefit from network density and pricing discipline, supporting more stable margins. Freight volumes are closely tied to inventory cycles and industrial production trends. Key players in this space include Old Dominion Freight Line, Saia, and XPO.

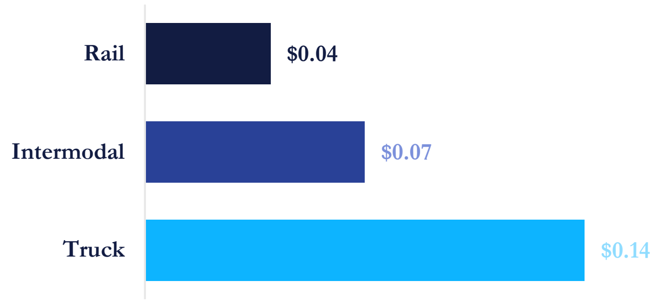
LTL vs. TL EBITDA Margin Comparison



Rail + Intermodal

Rail operators benefit from high barriers to entry and strong pricing power. While intermodal provides cost advantages and sustainability benefits through rail-truck integration, making it an efficient solution for long-haul freight. As supply chains continue to shift and companies look to optimize costs, intermodal stands to capture increasing share of freight volumes. Moreover, Rail benefits from operating leverage, with volume growth driving margin expansion. Key players include Union Pacific, CSX, and Norfolk Southern.

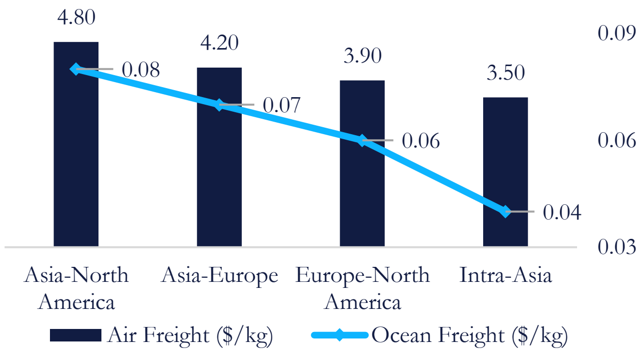
Freight Cost per Ton-Mile



Air + Ocean

Air Freight provides premium, time-sensitive transport shipments for high-value and perishable goods but remains closely tied to global trade cycles. While ocean shipping is cost-efficient for global trade but faces volatile rates and geopolitical risks. Both modes are critical to international supply chains and are directly impacted by the evolving tariff landscape. Key players include FedEx Corporation and United Parcel Service.

Air vs. Ocean Freight Cost per kg



Key Takeaways

Freight demand rises and falls with economic activity, making carrier earnings closely tied to manufacturing output, consumer demand, and global trade flows. Differences across freight modes influence pricing power and margin stability, while shifts in how freight is distributed among those modes drive earnings volatility. Rail and LTL operators benefit from structural advantages such as network density, pricing discipline, and high barriers to entry, whereas TL and ocean carriers remain more cyclical and sensitive to fluctuations in capacity, pricing, and broader supply-demand economics.

Sources: American Trucking Associations, Bloomberg, Bureau of Transportation Statistics, S&P Capital IQ, X

FREIGHT RAIL

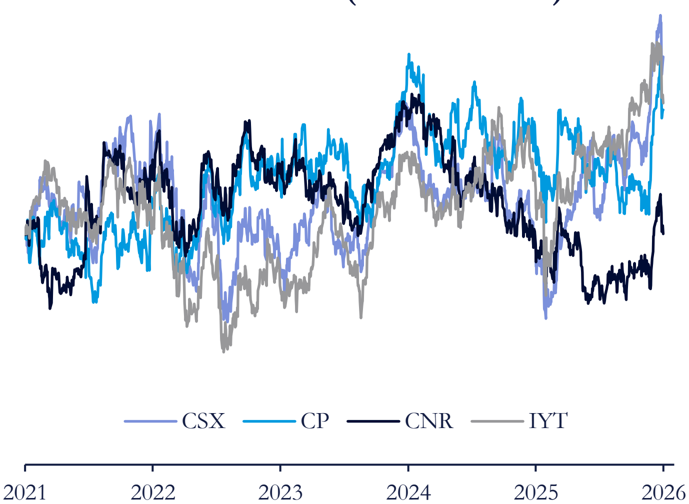
Overview

Freight Rail has long been the backbone and a vital part of the North American logistics industry, 40% of US intercity freight is transported this way. The sector is dominated by Class I railroads, which are carriers that do over $1 billion in annual revenue, it is also undergoing a large structural transformation, through precision scheduled railroading (PSR) adoption, cross-border trade dynamics, and proposed mergers. The sector is characterized through prohibitive barriers to entry, lasting pricing power, and a strong free cash flow generation. Currently the North American freight rail TAM is estimated to be $85 billion, with growth tied to production and trade volume.

Competitive Landscape

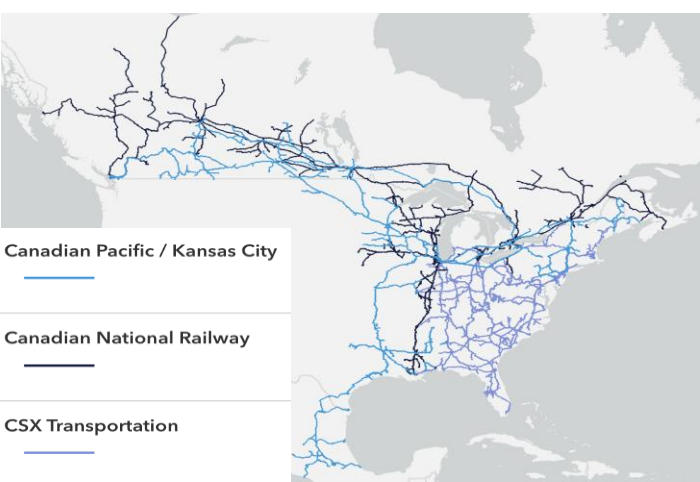
The North American freight rail market can be viewed as a consolidated oligopoly as seven Class I railroads control greater than 90% of industry revenue. Many of these carriers have distinct geographies, whether it be the Eastern corridor or Canada-Mexico routes. The sector dynamics are often geography shaped as opposed to direct competition, although the UNP <> NSC merger could throw a wrench in that. Lastly, the largest Class I railroad by revenue, BNSF, is privately held by Berkshire Hathaway, directly limiting public exposure.

5Y Stock Prices (Indexed to 100)



CSX (NASDAQ: CSX)

CSX Corporation, headquartered in Jacksonville, Florida, operates roughly 20,000 miles of route in the Eastern U.S., serving 26 states as well as parts of Quebec and Ontario. Known as an early adopter of PSR, CSX has committed $670 million more towards fleet modernization, through their partnership with Wabtec for new Evolution Series locomotives. CSX provides exposure to intermodal, chemicals, and automotive freight. CSX has invested in logistics and companies, Loadsmart and Neynar while also acquiring Meridian & Bigbee Railroad and Pan Am Railways, both railroad operators.



Canadian Pacific Kansas City (NYSE: CP)

Following the transformational merger between Canadian Pacific and Kansas City Southern, CPKC is the only single-line railroad between Canada the U.S., and Mexico. Providing unmatched access from Vancouver through the Midwest and into Mexico, CPKC is positioned as a primary beneficiary of the USMCA trade flows. CPKC also recently announced 5% share buyback, signaling confidence in growth.

Canadian National Railway (NYSE: CNI)

The operator of the only transcontinental railroad in Canada, from Vancouver to Halifax, as well as extensions through Chicago down to the Gulf of Mexico, CN's three coast network gives the railroad company access to global trade carriers. The Chicago hub is also vital due to its role as the continent's main interchange point. Previously owned by the crown until 1995, CN posted numerous record results in 2025, including grain shipment highs, an increase in international intermodal revenue, and train/engine productivity.

Sources: ArcGIS, Bloomberg, Company Websites, National Bureau of Transportation, Pitchbook

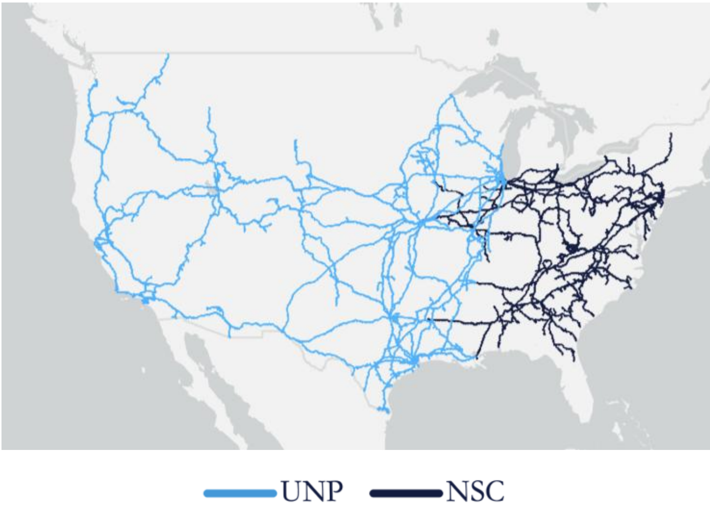
THE GREAT CONNECTION

Union Pacific & Norfolk Southern Merger

The proposed combination of Union Pacific (NYSE: UNP) and Norfolk Southern (NYSE: NSC) represents the most consequential consolidation in the history of North American freight rail. Announced on July 29, 2025, and valued at approximately $85 billion, the transaction would create America's first transcontinental railroad, spanning over 50,000 route miles across 43 states and linking approximately 100 ports coast to coast. Following a decade of failed consolidation attempts including Canadian National's blocked bid for Kansas City Southern and Canadian Pacific's rejected pursuit of Norfolk Southern before ultimately merging with KCS to form CPKC in 2023, the UP-NS combination now awaits a 16-month STB regulatory review with a targeted close in early 2027.

Regulatory Landscape

The Surface Transportation Board (STB) is the sole federal authority empowered to approve or deny the transaction and will apply a public interest standard weighing competitive impact against network benefits. The STB flagged the initial December 2025 filing as incomplete, while BNSF Railway filed a petition opposing the deal and a rail workers' union raised safety concerns, introducing early headwinds into what is already a lengthy review process. The deal includes a $2.5 billion reverse termination fee payable by Union Pacific if the STB rejects the transaction, underscoring the regulatory risk embedded in the deal structure.



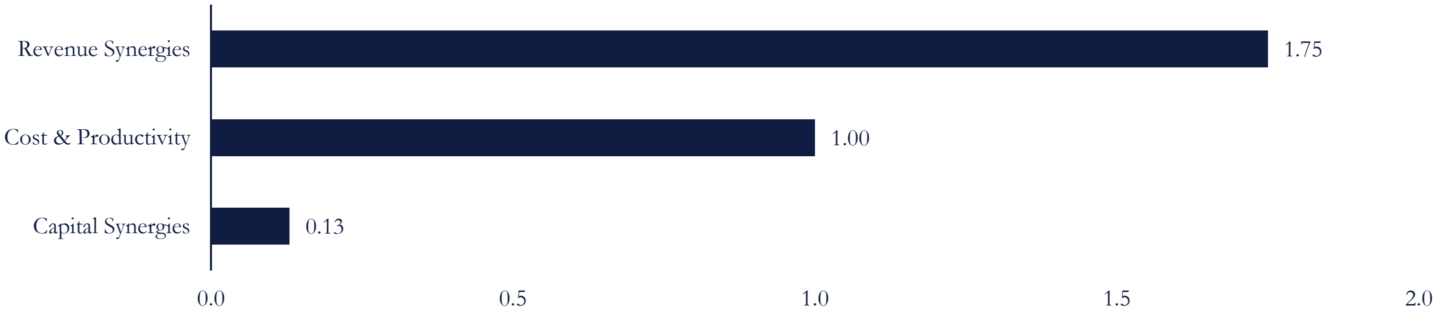
UNP

Union Pacific is the acquirer in the transaction, offering Norfolk Southern shareholders 1.0 UNP share plus $88.82 in cash per NS share, implying a 25% premium to NS's 30-day volume-weighted average price as of July 16, 2025. The combined entity is expected to achieve $2.75 billion in annualized synergies by Year 3, converting an estimated 2 million truckloads annually from road to rail alongside $1 billion in cost savings. Free cash flow is projected to reach approximately $12 billion by Year 3, supporting over $10 billion in annual share repurchases.

NSC

Norfolk Southern operates across 22 states and holds the largest intermodal network in the eastern United States, anchoring the eastern half of the proposed transcontinental corridor. In 2025, NSC reported revenue of $12.18 billion and earnings of $2.87 billion, up 9.58% year over year on cost controls amid uneven freight demand. Under the merger terms, NS shareholders receive consideration at $320 per share and will hold approximately 27% ownership in the combined company, with shareholder approval coming in at 99% in favor in November 2025.

Projected Synergy Breakdown ($B) - Year 3 Target



Sources: ArcGIS, Bloomberg, Company Filings, Company Websites, Pitchbook

M&A ACTIVITY

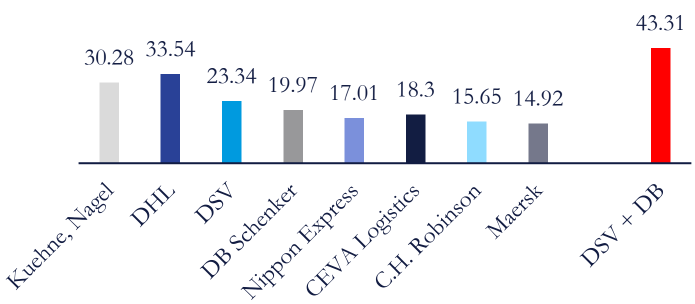
APM Terminals Acquisition of Panama Canal Railway	
04/02/2025	*$600 Million*
APM Terminals (Maersk)	*Panama Canal Railway Co.*

APM Terminals, the port and terminal operating standalone division of A.P. Moeller-Maersk, completed its acquisition of the Panama Canal Railway Company (PCRC), buying it from a joint venture of CPKC and Lanco Group. PCRC had 2024 revenues of $77 million and EBITDA of $36 million, implying an EBITDA margin of 47%. This deal is Maersk's first foray into railroad operation and shows a strategic expansion into intermodal logistics.

The Panama Canal Railway is a 47-mile-long rail line that runs parallel to the Panama Canal (arguably the world's most important canal for shipping) that effectively connects the Atlantic and Pacific Oceans. The railroad was constructed in 1855, decades before the canal, and after being renovated in the early 2000s, moves 300,000 containers each year, with capacity of up 10 daily trains in each direction. 2023-2024 had a 20% increase in volume as drought conditions forced companies to use the railroad to ship goods.

Maersk's broader strategy of building an integrated end-to-end logistics platform aligns exactly with this move. Maersk now owns a key alternative to the canal and can reduce dependency on it. More so, the deal comes at a time of geopolitical instability, with heightened U.S. interest on Panama Canal infrastructure. On the selling side, this sale reflects CPKC's commitment to divesting non-core assets and focus on its railroad network

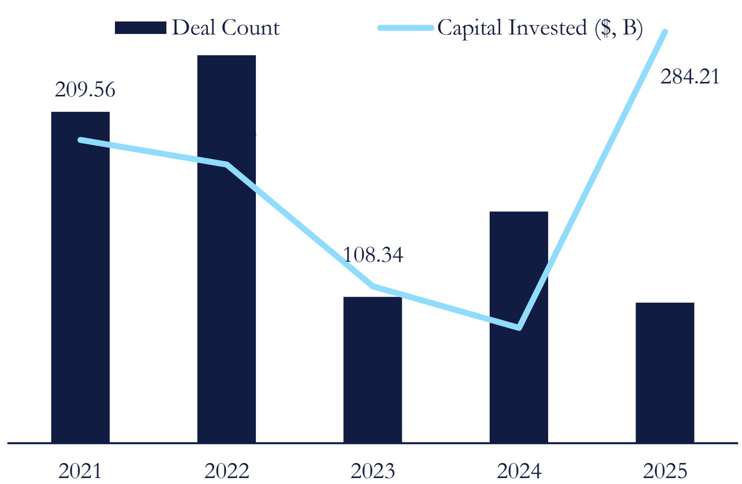
2024 Gross Logistics Revenue ($B)



DSV Acquisition of DB Schenker	
04/30/2025	*$15.94 Billion*
DSV	*DB Schenker*

The largest transaction in the history of the global logistics industry, DSVs acquisition of DB Schenker from Deutsche Bahn AG was originally signed in late

M&A Deals within T&L by Year



2024 following Deutsche Bahn launching a competitive process. The transaction only went through following EU and U.S. regulatory clearances.

DB Schenker, a company over 150 years old, operates land, air, and ocean freight, as well as contract logistics in over 130 countries. This deal doubles the size of DSV, creating a combined entity with annual revenues north of €40 billion. DSV also estimates annual synergies of €1.2 billion from consolidation of facilities and infrastructure.

Deutsche Bahn's decision to sell came from a goal to reduce DB's debt load and ultimately fund a multi-year turnaround of Germany's rail infrastructure. More so, DSV has committed to investing €1b in Germany and issued social undertaking for the German employees of Schenker, ensuring Germany isn't left out to dry in this deal. The deal ensures DSV's position as a leading global freight forwarder and reflects the broader trend of industry consolidation.

Sources: Company Filings, Pitchbook, Press Releases

ROLE OF MEGAHUBS

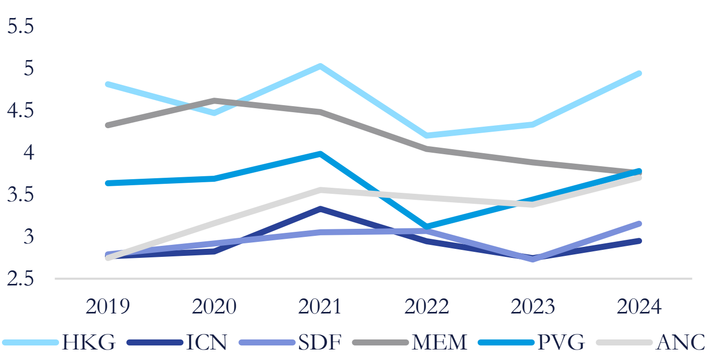
Definition

Megahubs are vital for modern logistics and shipping. The hub-and-spoke model, pioneered by FedEx and UPS is how these hubs work. Often a central place for companies to ship goods to and from, they work as logistics campuses, allowing next-day delivery to happen through automated sortation systems.

General Overview

These megahubs matter for several reasons. They enable overnight/next-delivery at a massive scale (e.g., 70% of UPS next-day air volume goes through *Worldport* in Louisville). The high fixed-cost infrastructure, conveyor systems, aircrafts, automation, work as multi-billion-dollar barriers to entry. Automation has been a key trend in the advancement of such megahubs. New technologies and facilities have been able to significantly reduce sort times and increase efficiency. UPS rolled out "Smart Package, Smart Facility," including RFID labels and AI route optimization, leading to 64% automated volume processing. DHL's Leipzig hub has automatic sorting, the first hub to do so. These hubs are also being used for more than just packages. UPS is adding over a million square feet of healthcare facilities in Louisville while FedEx designed their Bengaluru hub for pharmaceutical shipments. There also are several new entrants, such as Amazon Air scaling at CVG and Leipzig. FedEx has partnered with Nimble to be able to create AI-powered micro-fulfillment centers. UPS Hyperlocal service is designed for same-day delivery in urban areas, complementing megahubs. These new initiatives have clear cost saving potential and gives a clear path on the future of the firms and what their future investment may look like.

Megahubs by Cargo (In Millions of Tons)



Airport (IATA Code)	2024 Tons	Description	Carriers
Hong Kong (HKG)	4,938,211	Gateway between East Asia and rest of World	Cathay Pacific Cargo, Air Hong Kong
Seoul Incheon (ICN)	2,946,902	Connects Northeast Asian Manufacturing Hubs with Global Supply Chain	Korean Air Cargo, Asiana Cargo
Louisville Muhammad Ali (SDF)	3,152,969	UPS Global "Worldport" superhub and sorting facility	UPS
Memphis (MEM)	3,754,236	FedEx main hub and headquarters	FedEx
Shanghai (PVG)	3,778,331	Supports Yangtze River Delta manufacturing region	China Eastern Cargo, China Southern Cargo
Anchorage (ANC)	3,699,284	Trans-pacific refueling and technical stop, midway across Pacific	FedEx, UPS

Location Dynamics

The geographic positioning of megahubs is vital for logistics companies. Central geography that maximizes overnight delivery reach is prioritized. Locations such as Leipzig (DHL) or Memphis (FedEx) are chosen due to their centrality for the markets needed to be reached, as well as their calm climates. A location such as Anchorage is used due to its relative equidistance between the U.S. and East Asia, allowing operators a short flight in both directions.

UPS Worldport

The UPS Worldport in Louisville, Kentucky is the world's largest automated package sorting facility. Taking up 5.2 million square feet, the hub processes over 2 million packages per day. 300 flights arrive and depart daily, with the majority concentrated in the overnight window (11pm – 5am). 70% of all UPS next-day air volume goes through Worldport, emphasizing how essential it is to UPS' activity. Chosen to be in Louisville because of the location (95% of the U.S. population is within a four-hour flight) and weather (very few delays), UPS has continuously invested in the facility and is the largest employer in the Louisville area.

Sources: Airports Council International, Pitchbook

INFRASTRUCTURE BY REGION

Overview

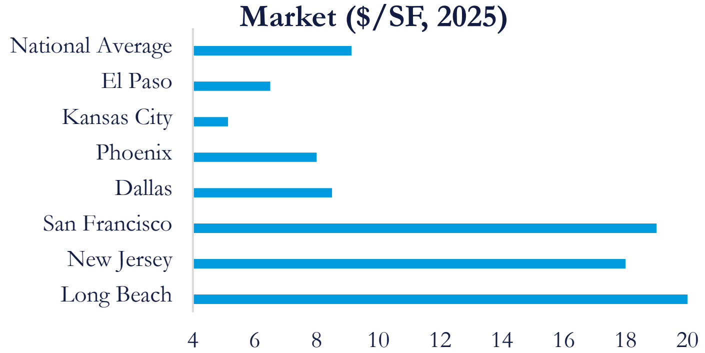
North American logistics infrastructure encompasses the ports, rail networks, highways, warehouses, and intermodal facilities that move goods across the U.S., Canada, and Mexico. The network is undergoing a structural shift driven by nearshoring, e-commerce growth, and post-COVID supply chain diversification, with capital flowing heavily into Sun Belt and border markets as companies restructure their distribution footprints away from sole reliance on Asian manufacturing.

Top Areas

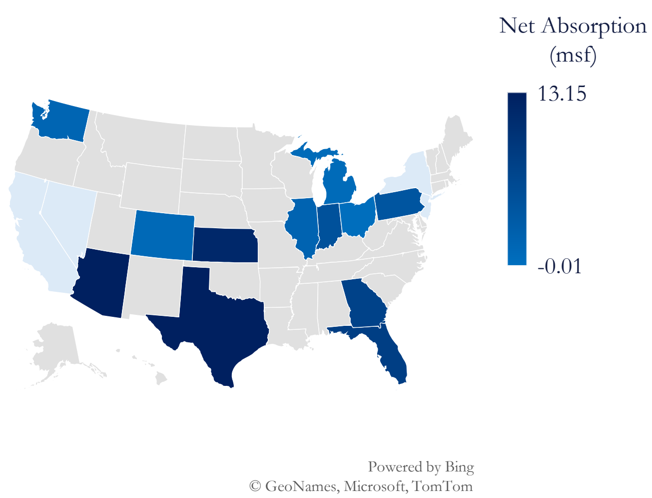
The Sun Belt corridor has emerged as the dominant logistics geography in North America, driven by population growth, lower operating costs, and proximity to the U.S.-Mexico border. Dallas-Fort Worth led all U.S. markets in 2025 with 31.1 million square feet of net absorption, cementing its position as the premier inland distribution hub. Its central location and dense highway network make it the natural anchor for companies restructuring their national distribution footprints. Phoenix and Kansas City round out the inland Sun Belt story, each absorbing 13.7 million and 11.8 million square feet respectively, as manufacturers and 3PLs prioritize markets with affordable land, available labor, and modern Class A warehouse stock.

The U.S.-Mexico border corridor is the fastest-growing logistics infrastructure zone in North America, driven by the nearshoring wave as companies shift manufacturing from Asia to Mexico in automotive, electronics, and consumer goods. El Paso and Laredo, TX sit at the center of this buildout, with El Paso vacancy near 3% at mid-2025 as demand consistently outpaces supply. The I-35 and I-29 corridors have become strategic arteries, with developers racing to position assets ahead of continued nearshoring-driven volume growth.

U.S. Industrial Warehouse Asking Rent by Market ($/SF, 2025)



U.S. Industrial Net Absorption by Market, 2025



Bottom Areas

Long Beach port-adjacent demand is directly exposed to tariff-driven trade policy volatility, trans-Pacific container trade fell 24% year-over-year in April 2025, with retailers delaying expansion commitments until policy clarity emerges, driving six consecutive quarters of negative net absorption and a 60% drop in leasing activity. The Northeast mirrors this trajectory. New York industrial vacancy hit a decade-high 10.2% in Q1 2025 while NJ leasing volume fell to its lowest level in ten years, as high land costs and aging stock render both markets structurally uncompetitive against Sun Belt alternatives.

Ramifications

Companies anchored to coastal and Northeast distribution networks face two compounding risks. Tariff-driven volume volatility at LA/Long Beach suppresses warehouse utilization when import flows contract, while Northeast occupancy costs at NJ rents averaging $12.06 PSF versus a national average of $8.87 create a structural margin disadvantage that widens as Sun Belt alternatives reprice the market downward.

Sources: CBRE, Cushman & Wakefield, DHL, McKinsey, Pitchbook

JONES ACT

Overview

The Merchant Marine Act of 1920, also known as the Jones Act, is a consequential and controversial piece of maritime legislation in the U.S.. Section 27 of the act requires all goods between two U.S. ports must travel on vessels that meet the following criteria: U.S.-built, U.S.-owned, U.S.-flagged, and U.S.-crewed (at least 75% are U.S. Citizens/permanent residents). Enacted in the aftermath of World War I to preserve U.S. domestic fleet, the act is widely regarded the world's most restrictive maritime act. Currently, only 92 vessels of 1,000+ gross tons are Jones Act compliant, a 52% decline since 2024 and only 21% of such vessels that existed in 1950.

Impact

Economic

The Jones Act's most clear economic consequence is the cost burden it puts on the parts of America that aren't part of the continental 48 (Hawaii, Alaska, Puerto Rico, and Guam). These areas rely almost entirely on shipping for goods, and since only Jones Act compliant vessels can serve these routes, prices get inflated (up to 10x comparable foreign-flagged ships). It is estimated the Act serves as effectively a 30% on Puerto Rico. The act also inflates costs for the mainland, and creates downstream effects, such as Puerto Rican airlines importing jet fuel from Canada as opposed to refineries in the United States. Only 2% of U.S. freight is over water, compared to the EU's 40%, due to the Jones Act.

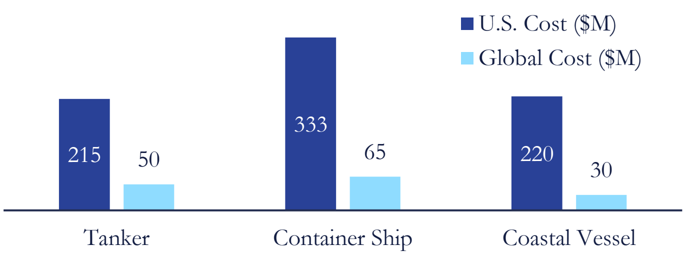
U.S. Shipbuilding

The act was designed to sustain domestic shipbuilding, an objective it has failed at – U.S. Shipyards produced .04% of global commercial ship production. U.S.-built ships cost more than foreign alternatives. More so, there are few U.S. shipyards that can build large commercial vessels, and no LNG Carrier has been built since 1980.

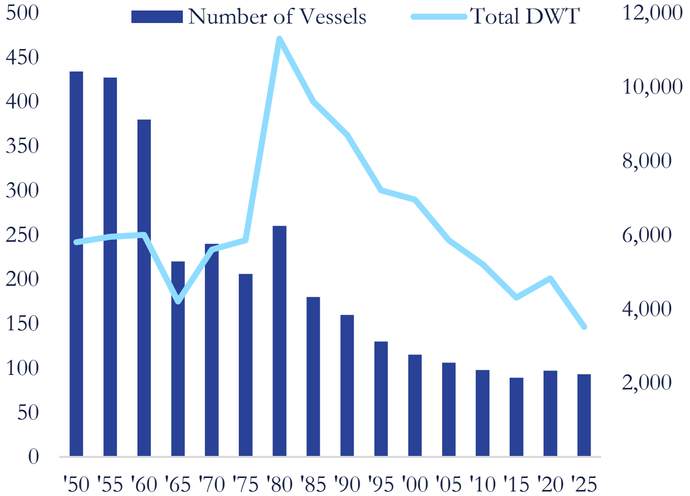
Energy & Offshore Wind

Because there are no Jones Act compliant wind turbine installation vehicles, developers gave to use feeder barges to move components around foreign-flagged installations, a costly workaround.

Shipbuilding Cost by Location



Jones Act Compliant Ships by Year



Policy Debate

Pros

Supporters of the Jones Act point to how it ensures a fleet of U.S.-built and crewed vessels is ready to help the military at a moments notice. More so, it supports 650,000 jobs and $154 billion in annual economic activity as it promotes U.S. Shipbuilding. The act keeps jobs in America and ensures the need for U.S. built vessels. Lastly, it saves the DHS money, as they don't have to monitor foreign vessels in U.S. waters.

Cons

The other side of the argument mention the cost burden passed on to the consumer. The act inflates prices for millions of Americans and disproportionally impacts already disadvantaged regions. More so, under the Jones Act, U.S. shipbuilding construction has catered, now making up only .04% of the global total, leading to the exact erosion it was supposed to prevent. It's also made it harder to build clean energy plants, impeding offshore wind development and having a clear impact on the environmental aspect.

DRONE & VTOL AIR CARGO

Overview

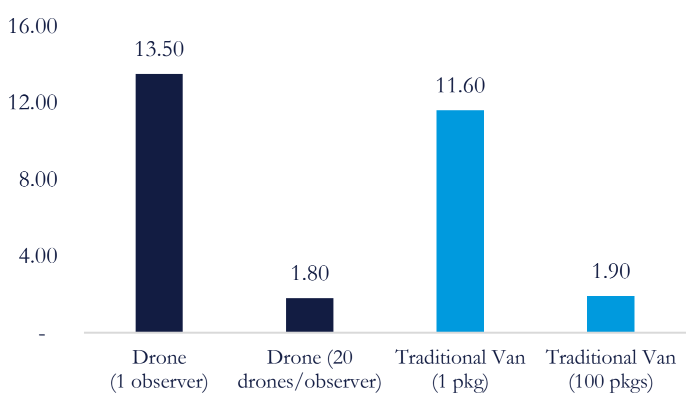
The market for drone and vertical take-off and landing (VTOL) air cargo is poised for transformative growth in the coming years, with the global drone logistics and transportation market projected to grow from $1.61 billion in 2024 to $16.15 billion by 2030 with a CAGR of 48.1%. The integration of drones in the freight and logistics industry allows companies to bypass ground traffic and deliver to hard-to-reach locations, meeting the accelerating consumer expectations for rapid, same-day delivery.

In Practice

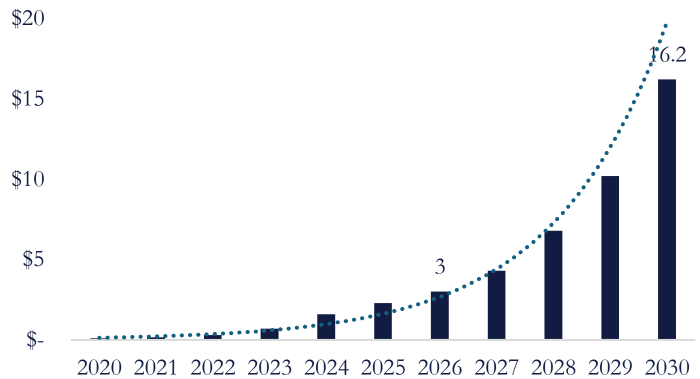
Current drone technology allow for devices to carry much lighter loads for relatively shorter distances. Average commerce packages weigh between 1-3 pounds, making drones and UAVs the ideal transporters for these goods. Typical transport drones are additionally utilized in shipment deliveries for destinations up to 12 miles away from warehousing operations, as they are equipped for shorter journeys. These innovative modes of delivery require large capital and for their implementation to be most successful they must be used as a replacement and not as a supplement to previous modes of transport.

Consumers have come to expect fast, reliable and affordable delivery services as they move further away from traditional, brick and mortar retail. This consumer shift places pressure on last-mile logistics, a gap that drone and VTOL technology is uniquely positioned to bridge. These air cargo alternatives can reach rural, difficult location, reducing the need for human intervention as well as , potentially driving down costs 70% less than traditional methods. Shifting to drone transportation companies can cut the cost of infrastructure and maintenance This cost reduction is reliant on the ability to simultaneously operate (20 drones) to compete with van delivery costs.

Last-Mile Unit Delivery Costs ($)



Drone Logistics Projected Market Size ($B)



Regulatory Landscape

The Federal Aviation Administration (FAA) regulates all civil aviation in the United States. The FAA requires companies to obtain waivers, certifications and airspace authorization to commence commercial drone operations. Presently, individual waivers are required for Beyond Visual Line of Sight (BVLOS) operations, however, the agency proposed rulemaking that would allow UAVs to operate BVLOS at 400 feet or less, subject to FAA approval of flight boundaries and upkeep of flight documentation.

Drawbacks

Presenting a promising future for transportation and logistics companies, drones offer drawbacks to consider. With large capital investments, companies must use these vehicles in large numbers and as a replacement to reap the benefits. Location is adversely very selective for drone implementation. Largely populated areas offer significantly less landing opportunities for these drones and disallow the UAVs from front door drop-offs. Amid these constraints drones remain a growing investment in the sector.

Sources: DHL, Federal Register, McKinsey & Company, U.S. Department of Transportation

CARBON RACE IN LOGISTICS

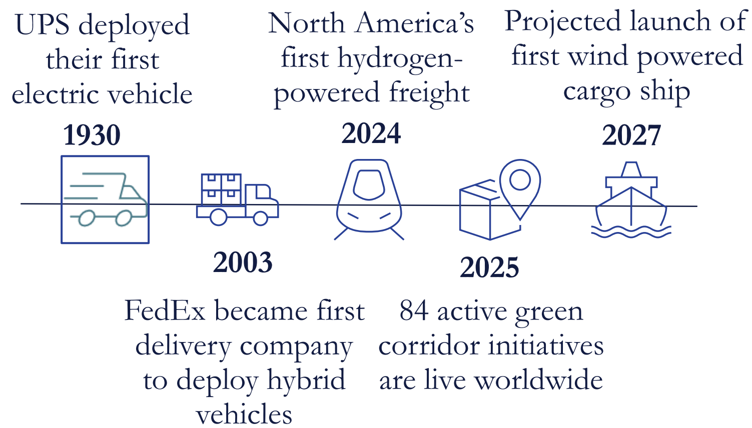
The Decade of Sustainable Transport

This coming year marks the beginning of the United Nation Decade of Sustainable Transport. The UN provided an Implementation Plan serving as a roadmap towards sustainable transport goals . The transport sector currently accounts for almost a quarter of global energy-related CO2 emissions, with ambitions to move toward net-zero. The framework points towards more efficient routes, electric fleets and digitalized supply chains. While calling for government action, the guidelines fall short of binding specifics, allowing for fragmented regulation and progress.

Hydrogen Locomotives

The implementation of Hydrogen fuel cell technology represents a promising alternative to diesel powered locomotives, offering the potential to significantly reduce emissions, while eliminating the risk of toxic spills. Unlike diesel, when hydrogen is consumed in a fuel cell, the primary byproduct is water vapor, resulting in minimal environmental impact. However, hydrogen leaks are particularly dangerous, as resulting flames are invisible in daylight and require specialized detection methods to identify. Additionally, hydrogen fuel cells would call for a shift away from conventional metals and towards stainless steel components due to hydrogens ability to embrittle certain alloys.

Timeline of Key Carbon Race Events



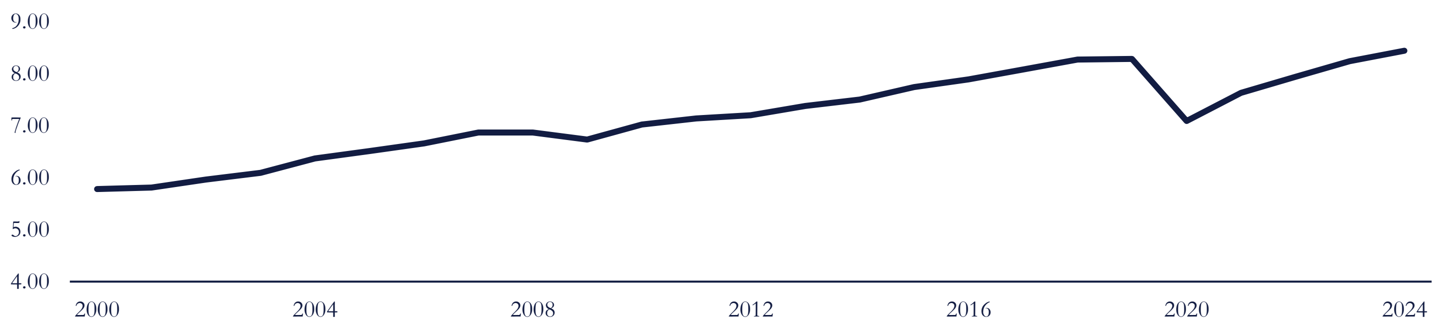
Electric Fleets

Road transportation currently makes up 11% of greenhouse gas emissions globally. In response, freight and logistics companies are looking to electrify their fleets, though momentarily these electric vehicles are constrained to shorter distances and lighter loads. As battery life lengthens and costs decline, electric vehicles will be capable of handling longer distances, making full fleet transition both operationally and economically viable. However, a fully successful shift will depend on significant infrastructure advances, specifically the expansion of charging networks.

Green Shipping Corridors

In 2025, 25 new green corridors were launched, bringing total active initiatives to 84. These ports aim to move away from conventional fossil fuels and utilize trade routes eliminating The main portion of these routes are in the advanced exploration period and continue to move through the proposed framework. Now 4 corridors are in realization stage, nearing zero-emissions. However, a stall could be in store, with policy delays and fuel cost gaps. Firms' willingness to pay higher fuels premiums remains a key obstacle, though national policy incentives are signaling a more positive outlook.

Global Transportation Sector CO_2 Emissions



Sources: Global Maritime Forum, Maersk, Statista, U.S. Department of Transportation, United Nations

LARGE-CAP LOGISTICS INVESTMENT

The Automation Imperative

The defining capital allocation story in large-cap logistics is not centered around acquisition, but rather the investment into automation. Across the sector, companies are channeling billions into AI-driven infrastructure, robotics, and proprietary digital platforms as the primary vehicle for margin recovery during a prolonged freight recession. The strategic logic is straightforward: contracted revenue streams hold while transactional revenue does not, and operators who structurally reduce labor dependency and optimize networks emerge from this cycle with a durable cost advantage. McKinsey finds that embedding AI across distribution functions can reduce logistics costs by as much as 20 to 30% in inventory and 5 to 20% in direct spend. A particularly notable area of investment is Automated Storage and Retrieval Systems, or AS/RS, which use robotic shuttles, cranes, and vertical lift modules to autonomously store and retrieve inventory, capable of reducing floor space requirements by up to 85% while dramatically cutting labor needs for picking and retrieval. The global AS/RS market was valued at approximately $6.5 billion in 2024 and is projected to reach $10.3 billion by 2030, with North America accounting for the largest share of adoption. What makes the current wave distinct from prior tech cycles is that investment is no longer peripheral. It is being embedded directly into core operations, making automation a fundamental driver of operating leverage rather than a bolt-on capability.

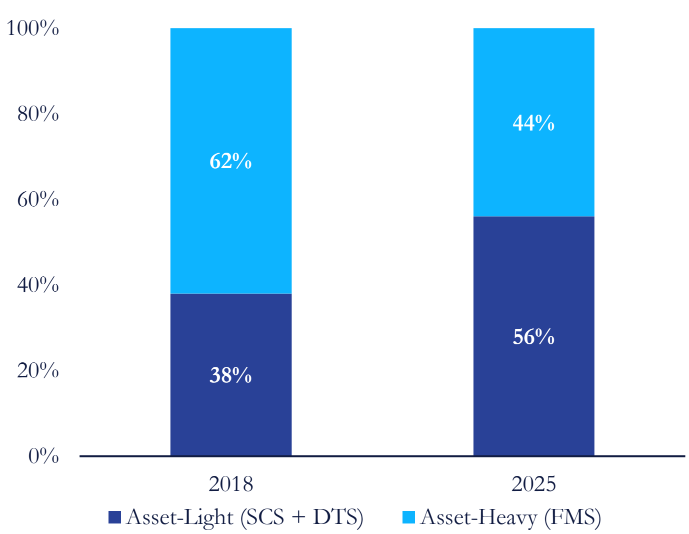
Ryder Systems

Ryder has repositioned itself from an asset-heavy fleet company into a technology-forward logistics provider, with 62% of 2025 revenue now derived from asset-light Supply Chain Solutions and Dedicated Transportation Solutions, up from 44% in 2018. Ryder's internally developed "Baton" AI platform is being deployed across customer-facing operations to power next-generation visibility, pricing, and warehouse management tools. Ryder is also deploying robotics across its fulfillment centers and has partnered with Aurora Innovation on autonomous trucking pilots, positioning itself at the intersection of contracted logistics and emerging transportation technology.

J.B. Hunt

J.B. Hunt has anchored its technology strategy on the J.B. Hunt 360° platform, a proprietary digital freight marketplace that has eliminated over 13.5 million empty miles since 2019 by intelligently matching shipper demand with available capacity. The company is deploying AI-powered camera systems that reduced preventable accidents per million miles by 25% in 2024 and has surpassed 50,000 autonomous miles in partnership with Kodiak Robotics on a live commercial corridor. Looking ahead, management has outlined a long-term roadmap targeting autonomous trucks, national EV charging infrastructure, and a 32% reduction in carbon emissions intensity by 2034.

Ryder Revenue Mix Shift



Year	J.B. Hunt Technology Investments
2013	J.B. Hunt 360° platform
2019	360° platform begins eliminating empty miles
2024	13.5M empty miles eliminated since 2019
2024	AI camera systems reduce accidents by 25%
2024	50,000+ autonomous miles with Kodiak Robotics
2034	Target 32% reduction in carbon emissions intensity

Sources: Bloomberg, Company Filings, McKinsey & Company Report, PwC Report

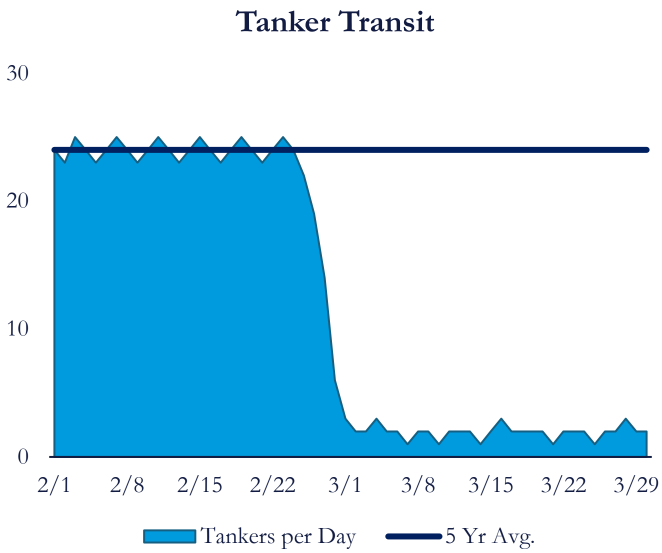
RECENT NEWS

Iran Closes the Strait

Following joint U.S.-Israeli strikes which killed Supreme Leader Khamenei on Iran on February 28, the IRGC declared the Strait of Hormuz closed to all non-Iranian vessels, threatening to destroy any ship attempting to cross. Within days, over 150 tankers had anchored in open Gulf waters rather than risk passage, bringing one of the world's most critical shipping lanes to a near-complete halt. Tanker transits dropped from a daily average of roughly 24 vessels to just 2-3, with most ships going dark on AIS tracking systems. Bypass routes through Oman's ports of Duqm and Salalah were quickly targeted by Iranian drones, eliminating the most viable alternative for shippers trying to route around the blockade.

Freight Rates & Transit Costs Spike

War risk insurance premiums surged to levels that rendered transit economically unviable for most commercial operators, adding an estimated $5-15 per barrel in effective shipping costs on top of already elevated oil prices. Ocean freight rates on alternative routes jumped sharply as vessels were forced onto significantly longer voyages around the Arabian Peninsula. For 3PLs and freight forwarders, the rapid repricing of risk mirrors the Red Sea disruption of 2024, but with greater scale and fewer viable alternatives, putting serious pressure on contract rate structures negotiated heading into 2026.

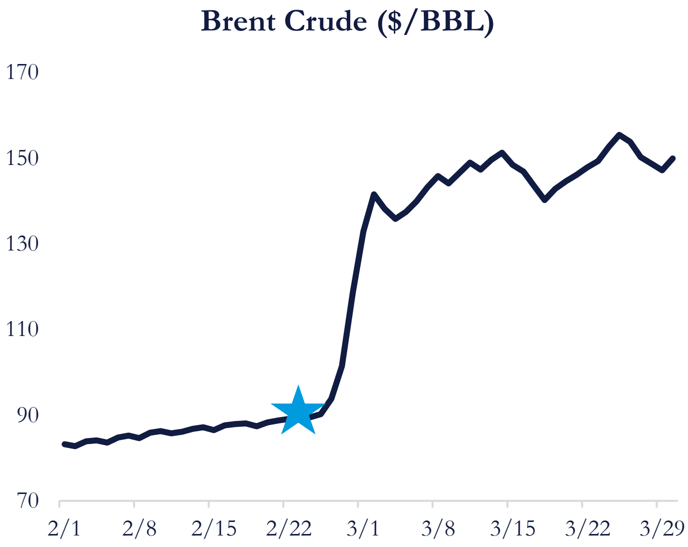


Rerouting Alternatives Prove Limited

Oman's deep-water ports at Duqm and Salalah were struck by Iranian drones early in the conflict, severely limiting their utility as rerouting hubs. Saudi Arabia and the UAE activated overland pipeline capacity to Red Sea and Arabian Sea terminals, but combined throughput covers only a fraction of normal strait volumes. Major carriers including Maersk and Hapag-Lloyd suspended Middle East routes entirely, compounding an already tight vessel supply environment and pushing blank sailings higher across Asia-Europe and Asia-U.S. trade lanes.

Oil Price Shock

Brent crude surged past $140/bbl within 72 hours of the closure, the sharpest single-week move since Russia's 2022 Ukraine invasion, directly hitting fuel surcharges across air, ocean, and ground freight. A coordinated U.S./EU/IEA strategic reserve release of 120 million barrels offered modest relief but failed to arrest the rally. For 3PLs and asset-heavy carriers, the spike compounds already elevated operating costs at a moment when contract rate structures for 2026 are still being negotiated. With analysts projecting Brent at $180+ possible if disruption extends past 90 days, fuel cost visibility has become the central variable in carrier profitability and shipper budgeting alike.



Sources: Bloomberg, EIA Report, McKinsey & Company, Pitchbook

BULL & BEAR RESEARCH

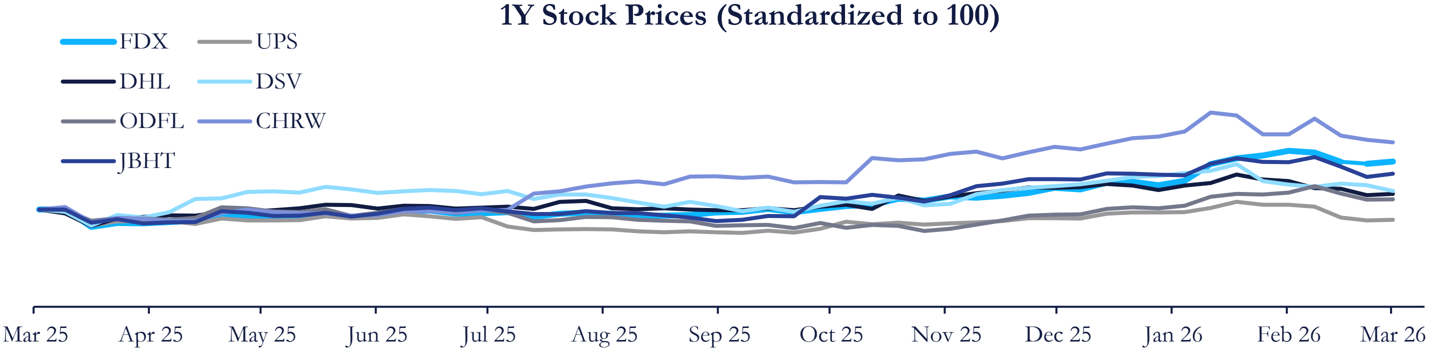
Financial Analysis

PEER UNIVERSE

Prices as of 3/27/26

Logo	Company	Ticker	Description	Price (USD)
	FedEx	FDX	Global logistics giant headquartered in Memphis, offering express delivery, ground shipping freight, and e-commerce services. Pioneered overnight delivery model and has one of the world's largest cargo airline fleets. Has segments such as FedEx Express, FedEx Ground, and FedEx Freight.	$343.97
	United Parcel Service	UPS	World's largest package delivery company by revenue, headquartered in Atlanta, has extensive ground, air, and supply chain solutions. Known for distinctive brown vehicles and uniforms and has been shifting towards segments such as healthcare logistics and small/medium business customers.	$94.80
	Deutsche Post	DHL	Global leader in international express shipping and cross-border logistics. Headquartered in Bonn, Germany, maintains significant presence in Europe and emerging markets. Offerings include express delivery and supply chain management. Exited U.S. domestic market but still serves U.S. international shipping.	$44.27
	DSV	DSV	Headquartered near Copenhagen, Denmark, has transformed into one of the world's largest freight forwarders through acquisition (such as Uti Worldwide), which expanded global footprint. Known for asset-light model, shows operational discipline and ability to gain synergies from acquisitions.	$231.62
	Old Dominion	ODFL	Leading less-than-truckload (LTL) carrier with a primary focus on the U.S. domestic market. Headquartered in North Carolina and regarded as the best-in-class when it comes to LTL, through timeliness, low cargo claims ratios, and operating margins. Has been disciplined regarding expansion.	$191.43
	C.H. Robinson	CHRW	North America's largest freight brokerage and a major third-party logistics provider, headquartered in Minnesota. Has an asset-light model, connecting shippers with contracted carriers through Navisphere, their proprietary technology platform, leading to data advantages and carrier relationships.	$161.57
	J.B. Hunt	JBHT	Multimodal transportation company headquartered in Arkansas. Main strength is in intermodal shipping due to exclusive partnership with BNSF Railway. Gone from pure trucking into diversified logistics operations. Intermodal segment leverages cost and environmental advantages of rail and trucking.	$205.59

1Y Stock Prices (Standardized to 100)



Sources: Company Websites, Yahoo Finance

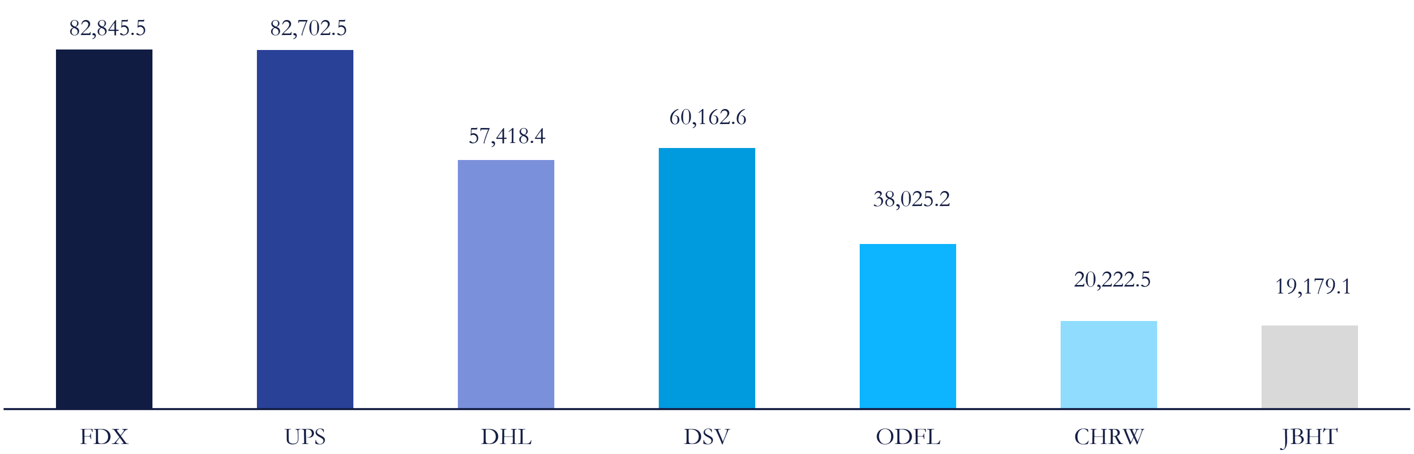
PEER UNIVERSE OVERVIEW

$ in millions of USD (As of Q1 2026)

Company	Mkt. Cap	Enterprise Value	Share Price	TTM / Revenue	TTM / EBITDA	TEV / Revenue	TEV / EBITDA	EPS	P/E
FedEx	82,845.5	113,854.5	52.4	90,093.00	11,369.00	1.26	10.01	18.07	19.46
UPS	82,702.5	105,433.5	97.4	88,661.00	12,212.00	1.19	8.63	6.56	14.82
DHL	57,418.4	83,709.2	51.5	97,960.50	9,056.00	0.85	9.24	3.07	16.02
DSV	60,162.6	73,282.3	253.3	38,883.10	3,391.20	1.88	21.61	34.30	47.59
Old Dominion	38,025.2	38,046.5	182.4	5,496.40	1,725.70	6.92	22.05	4.84	37.35
C.H. Robinson	20,222.5	21,457.0	170.5	16,232.80	875.00	1.32	24.52	4.83	35.30
J.B. Hunt	19,179.1	20,882.3	202.7	11,999.10	1,579.90	1.74	13.22	6.12	33.13
Lower	29,123.9	29,751.8	133.9	14,115.95	1,652.80	1.23	9.63	4.84	17.74
Mean	51,508.0	65,237.9	187.2	49,903.70	5,744.11	2.17	15.61	11.11	29.10
Median	57,418.4	73,282.3	182.4	38,883.10	3,391.20	1.32	13.22	6.12	33.13
Upper	82,702.5	105,433.5	253.3	90,093.00	11,369.00	1.88	22.05	18.07	37.35

The Peer Universe Overview table provides a high-level snapshot of key financial metrics across large-cap companies in the transportation and logistics sector as of Q1 2026. Among this group, FedEx and UPS stand out with the largest market capitalizations and enterprise values, each exceeding $82 billion, while also generating the highest absolute EBITDA figures in the peer set. All seven companies in this universe generate positive EBITDA, reflecting the mature and cash-generative nature of the sector. In this context, TEV/EBITDA becomes the most relevant valuation metric, as it captures how the market prices each dollar of operating earnings relative to total enterprise value. DSV trades at the highest TEV/EBITDA of 21.61x, reflecting its premium positioning as a high-growth global freight forwarder pursuing aggressive inorganic expansion. Old Dominion and C.H. Robinson trade at elevated multiples of 22.05x and 24.52x respectively, supported by their asset-light and LTL-focused models which command structural premiums over more capital-intensive peers. J.B. Hunt and UPS trade closer to the peer median, reflecting more balanced growth and capital return profiles. The median TEV/EBITDA of 13.22x across the peer group reflects a sector that, while mature, continues to reward companies demonstrating technology integration, network density, and margin resilience with meaningful valuation premiums.

Market Capitalization of Peer Universe ($B)



Sources: Bloomberg, Company Filings, PitchBook

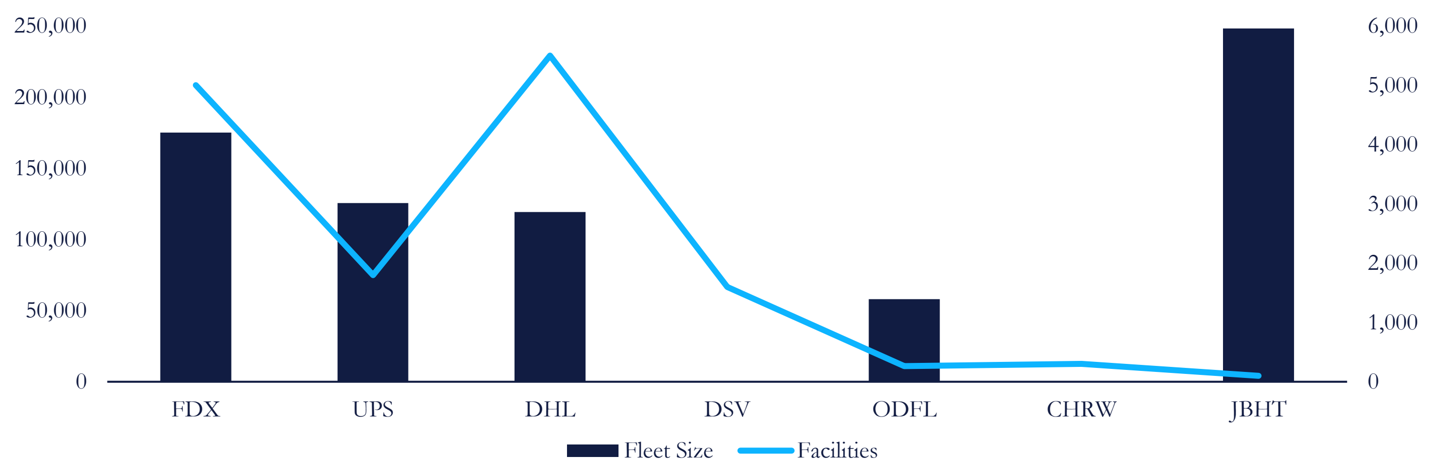
COMPARABLE: BASIC

$ in USD (As of Q1 2026)

Company	# of Employees	Annual Volume Handled	# of Facilities	Fleet Size	Network Reach (# of countries)	Revenue per Shipment
FedEx	500,000	5.8B	5,000	175,000	220	15.20
UPS	460,000	7.6B	1,800	125,516	200	14.46
DHL	590,000	2.1B	5,500	119,250	220	N/M
DSV	160,000	10.0M	1,600	Asset-light	90	3,889.00
Old Dominion	21,900	11.3M	261	57,998	1	486.00
C.H. Robinson	11,855	37.0M	300	Asset-light	37	439.00
J.B. Hunt	33,650	7.2M	100	248,155	3	1,666.00
Lower	27,775	10.7M	281	119,250	20	121.15
Mean	253,915	2.2B	2,080	145,184	110	1,084.94
Median	160,000	37.0M	1,600	125,516	90	462.50
Upper	500,000	5.8B	5,000	211,578	220	2,221.75

These peer universe companies span across five distinct sub-verticals; integrated parcel, global express and forwarding, asset-light freight forwarding, LTL trucking, and intermodal/contract carriage. These differences in operational profile led to differing business models, with FedEx and UPS collectively moving over 37 million packages per day through their fleets that each have over 125,000 vehicles, the same number of packages that C.H. Robinson brokers annually, routing freight through their contracted carriers. DSV, the world's largest freight forwarder since their acquisition of Schenker, handles over 10 million shipments yearly, spanning across 90+ countries, and yet, they don't own a single ship or aircraft. The company that owns the largest fleet size is J.B. Hunt, the bulk of which are intermodal containers and are designed to use Class I railroads. More so, the unit economics at play reflect the differing models, with UPS generating $14.46 per shipment as J.B. Hunt gets $1,666 per intermodal load. The competitive landscape is also shifting, following DSV's €14.3 billion acquisition of DB Schenker, doubling the company's headcount and making them the global market leader. FedEx is also trying to change their model, through their DRIVE transformation and Network 2.0 consolidation, allowing them to optimize almost 300 locations.

Relationship Between Fleet Size and Facilities



Sources: Bloomberg, Company Filings, Company Websites, PitchBook, S&P Capital IQ

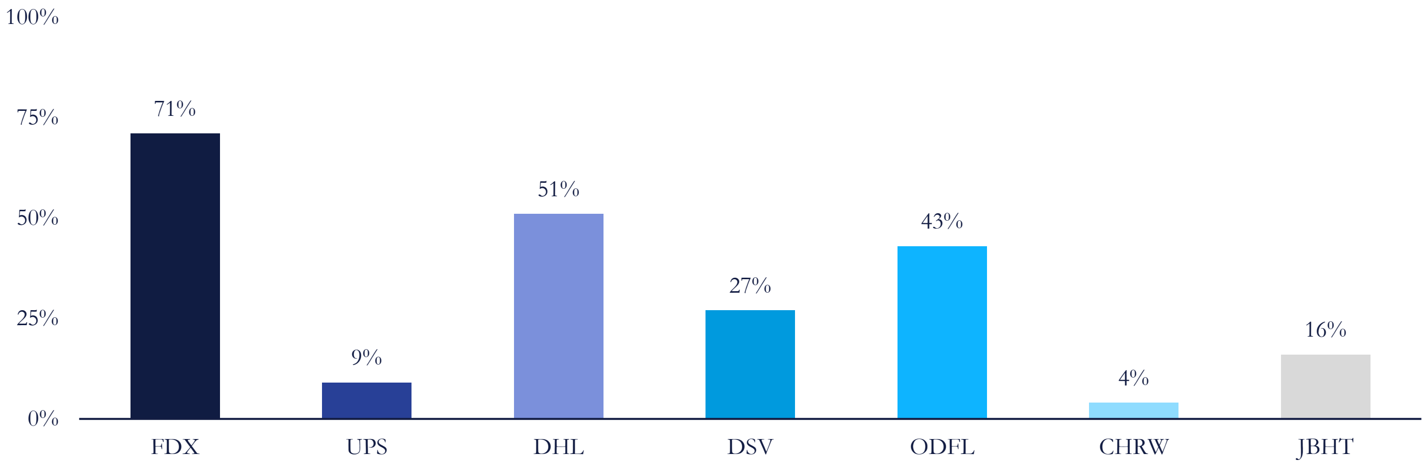
COMPARABLE: VALUATION

$ in millions of USD (As of Q1 2026)

Company	Price/ Book	EV/ EBITDA	Price/FCF	EV/ CapEx	Revenue Growth (YoY)	Gross Margin
FedEx	2.95	10.01	38.19	28.08	0%	71%
UPS	NM	8.63	22.13	28.61	-3%	9%
DHL	3.30	9.24	32.27	26.50	3%	51%
DSV	3.70	21.61	24.92	24.92	51%	27%
Old Dominion	7.40	22.05	39.84	91.68	-6%	43%
C.H. Robinson	14.50	24.52	23.97	286.09	-8%	4%
J.B. Hunt	6.90	13.22	28.57	28.57	-2%	16%
Lower	3.40	9.63	24.45	27.29	-4%	13%
Mean	6.46	15.61	29.98	73.49	5%	31%
Median	5.30	13.22	28.57	28.57	-2%	27%
Upper	9.18	22.05	38.19	91.68	3%	51%

The Comparable Valuation table highlights key pricing and efficiency metrics across the T&L peer universe as of Q3 2025. Price to Book and EV/Revenue multiples reflect the capital-intensive nature of the sector, with most peers trading at modest revenue multiples well below 2x, consistent with mature, asset-heavy business models. In this context, EV/CapEx becomes a particularly valuable lens, as it reveals how aggressively each company is reinvesting relative to its enterprise value. C.H. Robinson's outsized EV/CapEx of 286x reflects its asset-light brokerage model, which requires minimal physical capital to operate, while Old Dominion's 91.68x reflects its continued infrastructure investment in its LTL network. Revenue growth trends across the peer group remain under pressure, with most companies reporting flat to negative YoY growth amid a prolonged freight recession and volume normalization following pandemic-era demand peaks. Gross margin performance varies meaningfully across the group, from FedEx at 71% to C.H. Robinson at just 4%, underscoring the structural differences between integrated express carriers, LTL operators, and asset-light freight brokers. Overall, the peer set reflects a sector navigating a cyclical trough, where valuation discipline and margin resilience are increasingly rewarded over top-line growth.

Gross Margin Comparison



Sources: Bloomberg, Company Filings, Company Websites, PitchBook, S&P Capital IQ

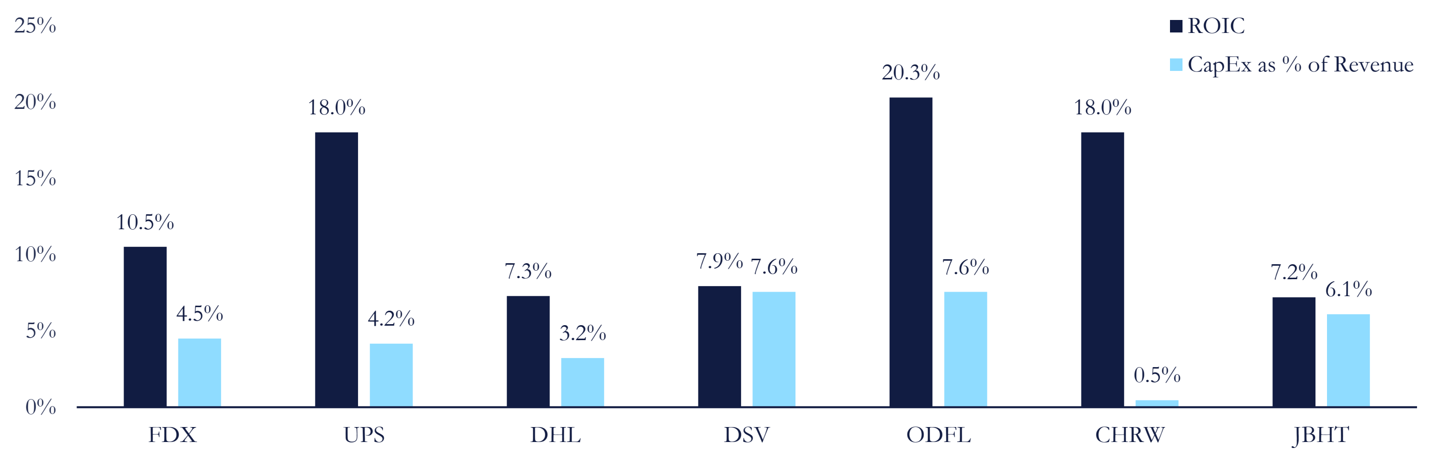
COMPARABLE: PROFITABILITY

$ in millions of USD (As of Q1 2026)

Company	Revenue / Employee	Operating Margin	Asset Turnover Ratio	Operating Ratio	ROIC	CapEx as % of Revenue
FedEx	180,186	6%	1.00	94%	11%	5%
UPS	192,741	10%	1.19	91%	18%	4%
DHL	166,035	7%	0.85	93%	7%	3%
DSV	243,019	8%	0.90	92%	8%	8%
Old Dominion	250,977	25%	0.77	75%	20%	8%
C.H. Robinson	1,369,279	5%	3.20	95%	18%	0%
J.B. Hunt	356,585	7%	1.50	93%	7%	6%
Lower	186,464	7%	0.88	92%	8%	4%
Mean	394,118	10%	1.34	90%	13%	5%
Median	243,019	7%	1.00	93%	11%	5%
Upper	356,585	10%	1.50	94%	18%	8%

The T&L peer universe exhibits a notably consistent profitability profile, with operating margins clustered tightly between 5% and 10% for most companies, reflecting the structural cost intensity of running large-scale transportation networks. Old Dominion stands out as the clear profitability leader with a 25% operating margin, a direct result of its disciplined LTL network density strategy and consistent pricing power, while C.H. Robinson at 5% reflects the inherently thin-margin nature of asset-light freight brokerage despite its exceptional asset turnover of 3.20x. Revenue per employee varies dramatically across the group, from C.H. Robinson at $1.37 million, a function of its technology-enabled, low-headcount brokerage model, to DHL at $166k, reflecting the labor-intensive nature of its global parcel and logistics operations. ROIC performance similarly diverges, with Old Dominion at 20% and UPS and C.H. Robinson both at 18% leading the peer set, while DHL and J.B. Hunt trail at 7%, indicating meaningful differences in how efficiently each business converts invested capital into returns. Overall, the profitability data reinforces a sector defined by operational leverage and network scale, where the most efficient operators generate outsized returns not through revenue growth but through disciplined cost management, asset utilization, and pricing consistency.

ROIC and CapEx as % of Revenue for Peer Universe



Sources: Bloomberg, Company Filings, Company Websites, PitchBook, S&P Capital IQ

BULL & BEAR RESEARCH

Initiating Coverage:

FedEx Corp (FDX)

BBR BULL & BEAR RESEARCH

FedEx Corp (FDX)

FedEx Corporation, originally Federal Express Corporation, provides transportation, e-commerce and business services for customers and businesses internationally. Founded in 1971 and headquartered in Memphis, Tennessee, FedEx corporation through its FedEx Express and FedEx freight segments offering express delivery, ground shipping, freight, logistics and digital solutions.

Differentiation and Strategy

Data Intelligence and Data-driven Logistics: FedEx Dataworks developments in AI and machine learning is allowing them to generate competitive data to lean out current operations.
Global Network Scale: FedEx operates an unmatched physical infrastructure, including the world's largest all-cargo air fleet, connecting 99% of the world's gross domestic product.
Elimination of FedEx Freight Segment: In the coming year FedEx will a spinoff for their Freight segment, encompassing their LTL sector. This will reshape FedEx's business mix and allow them to focus on their core competencies and move away from an underperforming segment.

Financial Performance

FedEx has presented normalized growth since the sector-wide decline and surge resulting from the COVID-19 pandemic. FedEx finished FY 2025 with $87.9 billion in revenue with year-over-year growth of 0.3%, providing an optimistic outlook for future earnings. Additionally, to revenue growth, FedEx continues to operate with increasing margins due to their disciplined cost control. FedEx structurally lowered its cost base by $4 billion in the last two years through its DRIVE program. FedEx cost structure is translating directly to their earnings, as adjusted operating income grew 7% in Q3 FY2026 on a year-over-year basis.

Recent Acquisitions

ShopRunner Incorporated: ShopRunner Inc. is an online retailer providing perks for online shoppers, including free 2-day shipping. Acquired by FedEx in 2020 and valued at $228 million USD.
RouteSmart Technologies: RouteSmart Technologies operates as a route optimization software specializing in operations research and analytics. Acquired by FedEx valued at $113 million USD.

Outlook

We have a **buy** rating on FedEx Corporation, with a price target of $375.87 with an upside of 9.3% from its current valuation. The company is focusing investments on business optimization to drive efficiency among all segments. Divesting from their underperforming segment, FedEx Freight, will allow them to focus all expertise and capital towards winning segments, including ground and express services.

Bull & Bear Research
Industrials | T&L
3/30/2026

Stock Rating	**BUY**
BBR Price Target	**$375.87**
Price (3/27/26)	$343.97
Ticker	NYSE
Exchange	FDX

52 Week Range	$198.07-$388.48

Research Team

Zachary Cohen – Director
Rohan Kalaria – Associate
Gonçalo Soares – Analyst
Nora Byrne – Analyst
Gautham Kotha – Analyst

Multiples

	FDX	**Peers**
EV/EBITDA	9.93x	11.87x
Debt/Equity	1.24	1.08
P/E	18.36x	18.46x

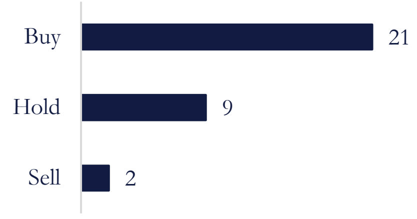
Stock Information

Market Cap (B)	$82.8
Shares Outs. (mm)	238.6
Free Float (%)	92.3%
Beta	1.28

Sources: Capital IQ, Company Filings, Company Website, Pitchbook, S&P Capital IQ, Yahoo Finance

ALTERNATIVE VALUATIONS

Consensus Rating



12M Price Target: $403.18

Price Analysis (3Y, USD)

Firm	Analyst	Date	Analyst Rating	Price Target
BBR	**Industrials Team**	**3/30/26**	**Buy**	**$375.87**
TD	Jason H Seidl	3/27/26	Buy	$426.00
Bernstein	David Vernon	3/26/26	Outperform	$457.00
Morgan Stanley	Ravi Shanker	3/25/26	Underweight	$230.00
BNP Paribas	Hugo Watkins	3/25/26	Neutral	$335.00
Deutsche Bank	Richa Talwar Harnain	3/20/26	Buy	$479.00
Goldman Sachs	Jordan Alliger	3/20/26	Buy	$405.00
UBS	Thomas Wadewitz	3/20/26	Buy	$446.00
J.P.Morgan	Brian P Ossenbeck	3/20/26	Neutral	$432.00

Select Commentary

Deutsche Bank **Price Target**: $479.00 **Rating**: Buy

- FedEx achieved “best peak in history” despite U.S. freight recession
- High conviction in long-term targeted 15% EPS growth CAGR
- FedEx has best in market service, leading to high margin verticals
- Raised revenue outlook to 6-6.5%, aiming for strong growth in Express
- Belief that there will be broader global demand upcoming
- Strong conviction in fuel surcharge program to mitigate direct cost increases
- Both revenue and costs should be enhanced by automation and tech-enabled process improvement

Research Team

Richa Harnain
Megan Makini

Deutsche Bank

Sources: Bloomberg, Company Websites, S&P Capital IQ

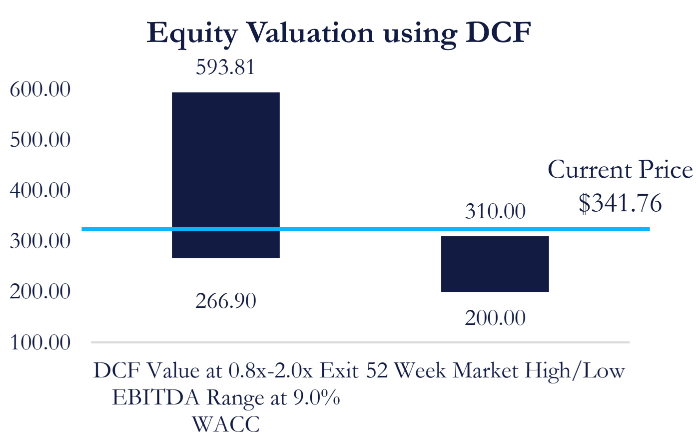
VALUATION SUMMARY

Income Statement						
Fiscal Year	**2026 E**	**2027 E**	**2028 E**	**2029 E**	**2030 E**	**2031 E**
Year Ended	*12/31/2025*	*12/31/2026*	*12/31/2027*	*12/31/2028*	*12/31/2029*	*12/31/2030*
Revenue	90,245	84,273	86,801	88,950	90,729	92,112
Cost Of Goods Sold	65,428	60,677	62,063	63,155	64,418	65,400
Gross Profit	**24,817**	**23,596**	**24,738**	**25,796**	**26,311**	**26,712**
Selling General & Admin Exp.	451	421	434	445	454	461
R & D Exp.	17,147	15,591	15,798	16,011	16,150	16,396
Operating Income	**7,220**	**7,585**	**8,506**	**9,340**	**9,708**	**9,856**
Interest Expense	(789)	(789)	(789)	(789)	(789)	(789)
EBT Incl. Unusual Items	**6,431**	**6,796**	**7,717**	**8,551**	**8,919**	**9,067**
Income Tax Expense	1,511	1,597	1,852	2,052	2,141	2,176
Net Income	**4,919**	**5,199**	**5,865**	**6,499**	**6,778**	**6,891**

Balance Sheet						
Fiscal Year	**2026 E**	**2027 E**	**2028 E**	**2029 E**	**2030 E**	**2031 E**
Cash And Equivalents	59,484	56,622	59,585	62,982	66,104	69,315
Short Term Investments	11,700	10,926	11,253	11,500	11,763	11,942
Accounts Receivable	853	796	820	841	857	871
Total Current Assets	**84,377**	**79,865**	**83,521**	**87,441**	**91,118**	**94,710**
Net Property, Plant & Equipment	52,163	45,139	37,374	28,853	19,717	9,939
Total Assets	**147,180**	**135,644**	**131,535**	**126,934**	**121,476**	**115,289**
Accounts Payable	-	-	-	-	-	-
Accrued Exp.	7,902	7,328	7,496	7,607	7,780	7,899
Unearned Revenue, Current	-	-	-	-	-	-
Total Current Liabilities	**67,212**	**61,529**	**62,405**	**63,238**	**63,887**	**64,820**
Long-Term Debt	25,612	25,612	25,612	25,612	25,612	25,612
Total Liabilities	**92,824**	**87,141**	**88,017**	**88,850**	**89,499**	**90,432**
Total Equity	**54,356**	**48,503**	**43,518**	**38,084**	**31,977**	**24,857**
Total Liabilities And Equity	**147,180**	**135,644**	**131,535**	**126,934**	**121,476**	**115,289**

Discounted Cash Flow Valuation						
Fiscal Year	**2026E**	**2027E**	**2028E**	**2029E**	**2030E**	**2031E**
Revenue	90,245	84,273	86,801	88,950	90,729	92,112
EBIT	7,220	7,585	8,506	9,340	9,708	9,856
NOPAT	**5,559**	**5,840**	**6,550**	**7,192**	**7,475**	**7,589**
D&A	4,332	3,961	3,993	4,003	4,083	4,145
Capex	(4,602)	(4,214)	(4,166)	(4,092)	(4,174)	(4,237)
Change in NWC	186	(478)	202	172	142	111
Unlevered FCF	**5,474**	**5,110**	**6,579**	**7,275**	**7,527**	**7,608**

Exit Multiple Approach	
Terminal year Revenue	92,112
Revenue multiple	1.2x
Terminal value in 2030	110,534
Present value of terminal value	77,149
Present value of stage 1 cash flows	26,633
Enterprise value (stage 1 + 2)	**103,782**
Enterprise value	103,782
Net debt	15,077
Equity value	88,705
Shares outstanding	236
Equity value per share	**$375.87**



Sources: Bloomberg, Company Website, PitchBook, S&P Capital IQ

BBR

BULL & BEAR RESEARCH

Initiating Coverage:

United Parcel Service (UPS)

BBR BULL & BEAR RESEARCH

United Parcel Service (UPS)

United Parcel Service, Inc. (UPS) is the world largest package delivery company by revenue, operating across more than 200 countries and territories. In 2025, UPS delivered an average of 20.8 million packages per day and generated $89 billion in revenue, supported by a global workforce of 460,000 employees.

Differentiation and Strategy

"Customer First, People Led, Innovation Driven" Strategy: UPS is deliberately cutting Amazon volume, which represented 10.6% of 2025 revenue, by more than 50% by mid-2026. In its place, the company is pivoting toward higher-margin segments, with SMB penetration reaching 31.2% of U.S. volume in Q4 2025 and healthcare logistics generating $11.2 billion in 2025 revenue.

Network Reconfiguration and Efficiency Reimagined: UPS's Network of the Future initiative aims to boost efficiency through automation and operational sort consolidation in its U.S. Domestic network.

Revenue Quality and Mix Shift: Revenue per piece grew 6.6% in 2025 as UPS shifted toward higher-yield SMB, healthcare, and international business, supported by investments in visibility and tracking technology.

Financial Performance

UPS has shown steady but declining top-line performance as it goes through a strategic transaction. FY 2025 revenue was $88.7 billion, down 2.6% YoY due to the planned Amazon volume reduction. Profitability is more encouraging. Although revenue declined, UPS is earning more per package as the business mix shifts toward higher-paying customers. BBR views the near-term revenue pressure as a necessary tradeoff for long-term pricing power and network efficiency. Looking ahead, UPS's forecast signals that the worst of the transition is behind and the strategy should start showing stronger results.

Recent Acquisitions

Andlauer Healthcare Group (9/2025): UPS completed the acquisition for approximately USD $1.6 billion. Andlauer is a Canadian healthcare supply chain specialist acquired to bolster UPS's complex healthcare logistics division.

Frigo-Trans & BPL (1/2025): Germany-based Frigo-Trans and its sister company BPL provide complex healthcare cold chain logistics solutions across Europe.

Outlook

We have a **buy** rating on UPS, with a price target of $112.42 a 19% upside from its current valuation. The company's management has recognized their need to improve operational efficiency and reduce dependence on Amazon volumes. As UPS continues to pivot toward higher-margin customers, we see the company benefitting from steady volume recover, disciplined cost management, and pricing power across its packages.

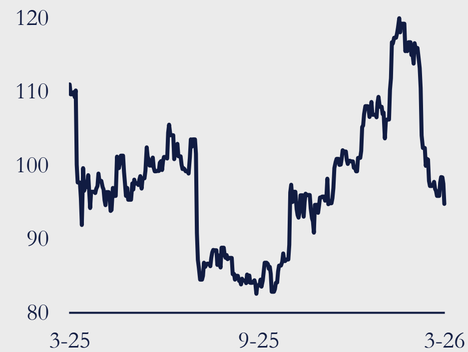
Bull & Bear Research

Industrials | T&L

3/30/2026

Stock Rating	**BUY**
BBR Price Target	$**112.42**
Price (3/27/26)	$94.80
Ticker	NYSE
Exchange	UPS

52 Week Range	$82.58-$120.00



Research Team

Zachary Cohen – Director

Rohan Kalaria – Associate

Gonçalo Soares – Analyst

Nora Byrne – Analyst

Gautham Kotha – Analyst

Multiples

	UPS	**Peers**
EV/EBITDA	8.61x	11.87x
Debt/Equity	1.67	1.08
P/E	15.33x	18.46x

Stock Information

Market Cap (B)	$82.7
Shares Outs. (mm)	849
Free Float (%)	85.7%
Beta	1.05

Sources: Company Website, Pitchbook, S&P Capital IQ, Yahoo Finance

ALTERNATIVE VALUATIONS

Consensus Rating

12M Price Target: $114.14

Price Analysis (3Y, USD)

Firm	Analyst	Date	Analyst Rating	Price Target
BBR	**Industrials Team**	**3/30/26**	**Buy**	**$112.42**
TD	Jason H Seidl	3/27/26	Hold	$115.00
BNP PARIBAS	Hugo Watkins	3/27/26	Underperform	$85.00
Morgan Stanley	Ravi Shanker	3/20/26	Underweight	$ 75.00
citi	Ariel Rosa	3/18/26	Buy	$120.00
VERTICAL RESEARCH PARTNERS	Jefferey A Kauffmam	3/16/26	Hold	$116.00
MELIUS RESEARCH	Conor Cunningham	3/08/26	Buy	$120.00
BARCLAYS	Brandon Oglenski	3/5/26	Underweight	$80.00
UBS	Thomas Wadewitz	3/4/26	Buy	$125.00

Select Commentary

UBS **Price Target**: $125.00 **Rating**: **Buy**

- 2Q EPS estimates raised on better domestic revenue & margins
- Rise in domestic package shipping
- Favorable pricing compared to competitors
- Headwinds that troubled the company in 2025 should ease through 2026
- Large cost reduction programs, such as driver buyout program, should result in tailwind for future performance
- UPS remains agile despite headwinds from trade policies

Research Team

Thomas Wadewitz
Michael Triano
Michael DiMattia

UBS

Sources: Bloomberg, Company Websites, S&P Capital IQ

VALUATION SUMMARY

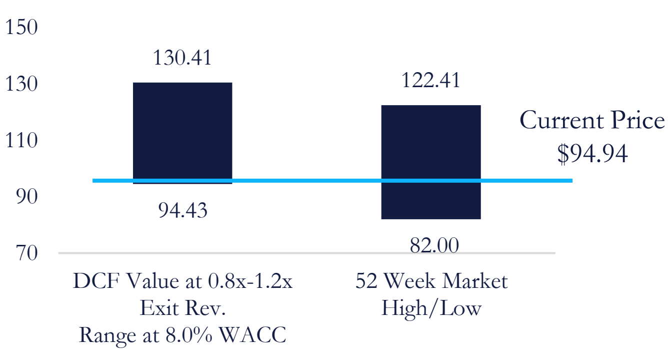
Income Statement						
Fiscal Year	**2026 E**	**2027 E**	**2028 E**	**2029 E**	**2030 E**	**2031 E**
Year Ended	*12/31/26*	*12/31/27*	*12/31/28*	*12/31/29*	*12/31/30*	*12/31/31*
Revenue	88,661	93,142	97,847	102,745	107,901	113,320
Cost Of Goods Sold	80,682	84,480	88,552	92,881	97,435	102,215
Gross Profit	**7,979**	**8,662**	**9,295**	**9,864**	**10,466**	**11,105**
Selling General & Admin Exp.	-	-	-	-	-	-
R & D Exp.	4,131	4,564	5,020	5,498	6,001	6,529
Operating Income	**-**	**-**	**-**	**-**	**-**	**-**
Interest Expense	3,849	4,098	4,275	4,365	4,466	4,577
EBT Incl. Unusual Items	**6,962**	**7,645**	**8,278**	**8,847**	**9,449**	**10,088**
Income Tax Expense	1,532	1,682	1,821	1,946	2,079	2,219
Net Income	**5,431**	**5,963**	**6,457**	**6,900**	**7,371**	**7,869**

Balance Sheet						
Fiscal Year	**2026 E**	**2027 E**	**2028 E**	**2029 E**	**2030 E**	**2031 E**
Cash And Equivalents	6,064	6,918	8,522	10,855	13,900	17,744
Short Term Investments	10,931	11,483	12,063	12,633	13,303	13,971
Accounts Receivable	-	-	-	-	-	-
Total Current Assets	**37,729**	**37,501**	**37,037**	**36,323**	**35,346**	**34,094**
Net Property, Plant & Equipment	72,986	74,264	76,087	78,383	81,235	84,614
Total Assets	**6,410**	**6,712**	**7,036**	**7,359**	**7,741**	**8,121**
Accounts Payable	5,097	5,337	5,594	5,868	6,155	6,457
Accrued Exp.	-	-	-	-	-	-
Unearned Revenue, Current	3,700	3,700	3,700	3,700	3,700	3,700
Total Current Liabilities	**6,567**	**6,567**	**6,567**	**6,567**	**6,567**	**6,567**
Long-Term Debt	14,805	14,577	14,113	13,399	12,422	11,170
Total Liabilities	**21,372**	**21,144**	**20,680**	**19,966**	**18,989**	**17,737**
Total Equity	**16,357**	**16,357**	**16,357**	**16,357**	**16,357**	**16,357**
Total Liabilities And Equity	**37,729**	**37,501**	**37,037**	**36,323**	**35,346**	**34,094**

Discounted Cash Flow Valuation						
Fiscal Year	**2026E**	**2027E**	**2028E**	**2029E**	**2030E**	**2031E**
Revenue	88,661	93,142	97,847	102,745	107,901	113,320
EBIT	7,979	8,662	9,295	9,864	10,466	11,105
NOPAT	6,783	7,363	7,901	8,384	8,896	9,440
D&A	4,131	4,564	5,020	5,498	6,001	6,529
Capex	(4,128)	(4,337)	(4,556)	(4,784)	(5,024)	(5,276)
Change in NWC	(48)	40	30	4	34	21
Unlevered FCF	**6,737**	**7,630**	**8,395**	**9,102**	**9,907**	**10,713**

Exit Multiple Approach	
Terminal year Revenue	113,320
Revenue multiple	0.9x
Terminal value in 2030	101,988
Present value of terminal value	76,529
Present value of stage 1 cash flows	38,708
Enterprise value (stage 1 + 2)	**115,238**
Enterprise value	115,238
Net debt	(19,377)
Equity value	95,861
Shares outstanding	849
Equity value per share	**$112.91**

Equity Valuation using DCF



Sources: Bloomberg, Company Filings, PitchBook

BBR BULL & BEAR RESEARCH

Initiating Coverage:

Deutsche Post (DHL)

BBR BULL & BEAR RESEARCH

Deutsche Post (DHL)

Deutsche Post, is one of the largest logistics companies in the world. Tracing its origins back to the privatization of Deutsche Bundespost in 1995, the company has grown through acquisitions and is now a fully integrated logistics platform with express delivery, freight forwarding, contract logistics, e-commerce, and German domestic mail. Operating in over 220 countries, DHL has a broader geographic footprint than other providers.

Differentiation and Strategy

Global Network Scale and Diversification: Unlike competitors, DHL generates most of its revenue internationally. This gives DHL improved exposure to fast-growing trade lanes (such as emerging market corridors) that U.S.-focused competitors have worse positioning in.

Strategy 2030 – Accelerate Sustainable Growth: Based on this initiative to increase revenue growth, DHL is now expanding into high-growth verticals, renewable energy and EV logistics and e-commerce fulfillment.

Digital Customer Experience and Sales Capabilities Investment: DHL is focused on improving customer experience and streamlining sales systems to make it an overall smoother process for customers.

Financial Performance

DHL finished FY 2025 with €83 billion in revenue, a 1.6% decline year-over-year due to lower volumes on U.S. routes and trade tensions. However, EBIT rose 3.7% to €6.1 billion and an EBIT margin of 7.4%. Global Forwarding, Freight was the weakest division, decreasing 5.1% YOY. The only division to post meaningful growth was Post & Parcel Germany, increasing by 3%. DHL expects operating profit above €6.2 billion and FCF of €3 billion, implying a continued expansion in margins, not accounting for tariff/trade policy variance.

Recent Acquisitions

CRYOPDP (3/2025): A specialty courier focused on clinical trials, biopharma, and cell & gene therapies, CYROPDP operates in 15 countries, handling over 600,000 shipments yearly. Now the centerpiece of "DHL Health Logistics", as the last-mile specialty courier for their pharma platform.

SDS Rx (9/2025): A provider of final-mile delivery and specialized healthcare transportation, SDS Rx process deliveries from more than 200 locations adding expedited delivery capabilities to DHL's healthcare offerings,

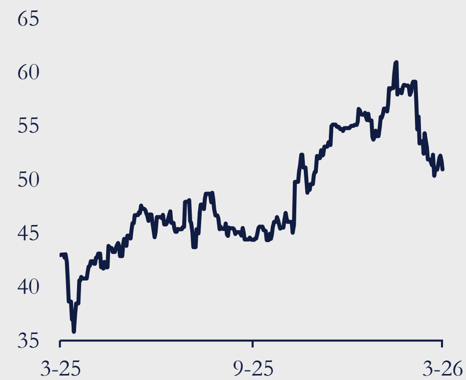
Outlook

We have a **buy** rating on DHL Group. We believe that through their moderate growth and ability to adapt, they are a worthy investment in the mid-term. That leads us to a price target of $65.35, which has a 26.9% upside. While there are macroeconomic risks (such as the Middle East conflict and companies bringing logistics in-house), we feel that DHL is aware of these concerns and will be able to steer around them.

Bull & Bear Research
Industrials | T&L
3/30/2026

Stock Rating	**BUY**
BBR Price Target	$**65.35**
Price (3/27/26)	$51.52
Ticker	DHL
Exchange	FSE

52 Week Range	$35.82-$60.87



Research Team

Zachary Cohen – Director

Rohan Kalaria – Associate

Gonçalo Soares – Analyst

Nora Byrne – Analyst

Gautham Kotha – Analyst

Multiples

	DHL	Peers
EV/EBITDA	7.11x	11.87x
Debt/Equity	.95	1.08
P/E	14.86x	18.46x

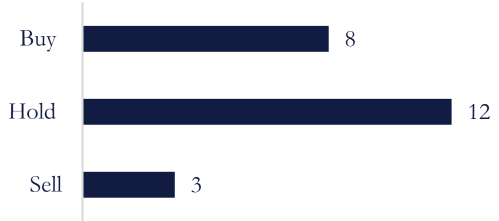
Stock Information

Market Cap (B)	$57.4
Shares Outs. (mm)	1,120
Free Float (%)	79.6%
Beta	1.15

Sources: Company Website, Pitchbook, S&P Capital IQ, Yahoo Finance

ALTERNATIVE VALUATIONS

Consensus Rating



12M Price Target: $56.98

Price Analysis (3Y, USD)

Firm	Analyst	Date	Analyst Rating	Price Target
BBR	**Industrials Team**	**3/30/26**	**Buy**	**$65.35**
Jefferies	Michael Aspinall	3/30/26	Buy	$69.00
J.P.Morgan	Alexia Dogani	3/27/26	Overweight	$64.98
BNP PARIBAS	James Hollins	3/25/26	Underperform	$43.70
BARCLAYS	Marco Limite	3/25/26	Overweight	$62.10
MORNINGSTAR	Matthew Young	3/24/26	Sell	$46.00
Morgan Stanley	Cedar Brownwen Ekblom	3/23/26	Equal Weight	$54.05
UBS	Christian Nedeclu	3/20/26	Neutral	$48.88
citi	Chloe Fu	3/20/26	Buy	$59.80

Select Commentary

UBS **Price Target**: $48.88 **Rating**: Neutral

- FedEx increasing market share on intra-Asia and Asia-Europe routes, signifying increased competition in a region that DHL historically dominated
- Middle East Disruption: "modest headwind tied to business impact in the region"

Research Team
Christian Nedelcu
Samuel Goldstone
UBS

J.P. Morgan **Price Target**: $64.98 **Rating**: Buy

- FedEx's International Priority performance gives DHL a road to volume growth
- "We like DHL given positive risk-reward and ability to navigate volatile backdrop while being well positioned to benefit from disruption in the Middle East."

Research Team
Alexia Dogani
Harry J Gowers
J.P.Morgan

Sources: Bloomberg, Company Websites, S&P Capital IQ

BULL & BEAR INDUSTRIALS

VALUATION SUMMARY

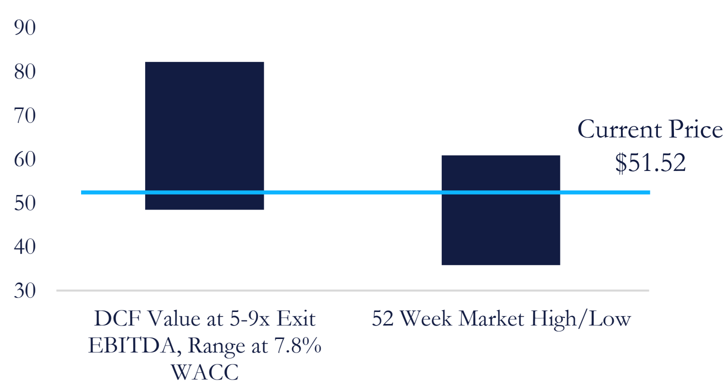
Income Statement						
Fiscal Year	**2026 E**	**2027 E**	**2028 E**	**2029 E**	**2030 E**	**2031 E**
Year Ended	*12/31/2026*	*12/31/2027*	*12/31/2028*	*12/31/2029*	*12/31/2030*	*12/31/2031*
Revenue	98,142	101,500	105,317	108,910	112,242	115,542
Cost Of Goods Sold	80,968	83,535	86,465	89,197	91,702	94,166
Gross Profit	**17,175**	**17,966**	**18,852**	**19,713**	**20,540**	**21,375**
Selling General & Admin Exp.	412	426	442	457	471	485
R & D Exp.	9,618	9,846	10,110	10,455	10,663	10,976
Operating Income	**7,145**	**7,694**	**8,299**	**8,800**	**9,406**	**9,914**
Interest Expense	(1,275)	(1,275)	(1,275)	(1,275)	(1,275)	(1,275)
EBT Incl. Unusual Items	**5,870**	**6,419**	**7,024**	**7,525**	**8,131**	**8,639**
Income Tax Expense	1,644	1,797	1,967	2,107	2,277	2,419
Net Income	**4,226**	**4,622**	**5,057**	**5,418**	**5,854**	**6,220**

Balance Sheet						
Fiscal Year	**2026 E**	**2027 E**	**2028 E**	**2029 E**	**2030 E**	**2031 E**
Cash And Equivalents	5,646	8,396	12,349	17,509	24,004	31,789
Short Term Investments	1,354	1,400	1,449	1,502	1,548	1,594
Accounts Receivable	13,440	13,866	14,314	14,806	15,222	15,631
Total Current Assets	**24,267**	**27,620**	**32,218**	**38,063**	**45,149**	**53,517**
Net Property, Plant & Equipment	37,014	38,740	40,524	42,368	44,273	46,241
Total Assets	**95,525**	**97,296**	**98,338**	**98,602**	**98,039**	**96,615**
Accounts Payable	9,257	9,551	9,859	10,198	10,484	10,766
Accrued Exp.	12,409	12,708	13,056	13,501	13,775	14,180
Unearned Revenue, Current	1,018	1,052	1,092	1,129	1,164	1,198
Total Current Liabilities	**27,990**	**28,671**	**29,427**	**30,306**	**30,954**	**31,727**
Long-Term Debt	31,088	31,088	31,088	31,088	31,088	31,088
Total Liabilities	**59,078**	**59,758**	**60,514**	**61,394**	**62,042**	**62,815**
Total Equity	**36,447**	**37,537**	**37,824**	**37,209**	**35,997**	**33,800**
Total Liabilities And Equity	**95,525**	**97,296**	**98,338**	**98,602**	**98,039**	**96,615**

Discounted Cash Flow Valuation						
Fiscal Year	**2026E**	**2027E**	**2028E**	**2029E**	**2030E**	**2031E**
Revenue	98,142	101,500	105,317	108,910	112,242	115,542
EBIT	7,145	7,694	8,299	8,800	7,947	8,181
NOPAT	5,145	5,540	5,976	6,336	5,722	5,890
D&A	5,398	5,583	5,792	5,990	6,173	6,355
Capex	(2,944)	(3,045)	(3,160)	(3,267)	(3,367)	(3,466)
Change in NWC	(1,750)	(504)	(559)	(686)	(639)	(631)
Unlevered FCF	**5,848**	**7,573**	**8,050**	**8,373**	**7,889**	**8,148**

Exit Multiple Approach	
Terminal year EBITDA	14,536
EBITDA multiple	7.0x
Terminal value in 2030	101,750
Present value of terminal value	66,048
Present value of stage 1 cash flows	32,766
Enterprise value (stage 1 + 2)	**98,814**
Enterprise value	98,814
Net debt	25,813
Equity value	73,001
Shares outstanding	1,117
Equity value per share	**$65.35**

Equity Valuation Using DCF



BBR

BULL & BEAR RESEARCH

Private Market Coverage

PRIVATE MARKETS OVERVIEW

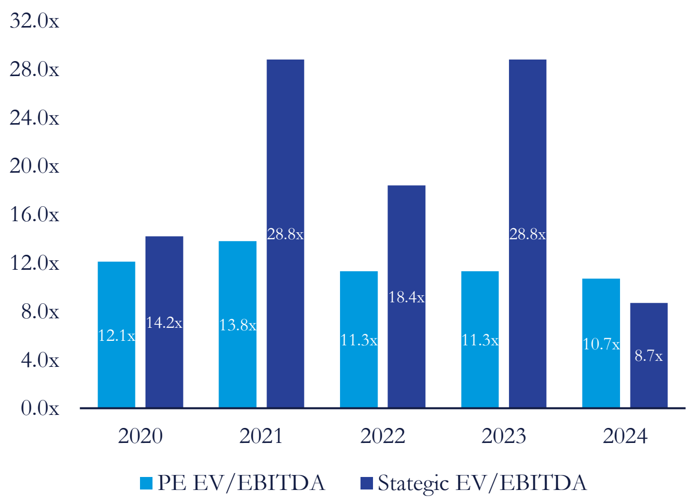
Historical Investment Trends

Private market investment in transportation and logistics has followed a boom-bust-recovery pattern shaped by pandemic-era tailwinds, post-cycle normalization, and a structural rotation toward technology-enabled platforms. Venture capital and private equity poured capital into the sector at peak levels in 2021, driven by e-commerce acceleration and supply chain visibility demand, before a sharp pullback through 2022 and 2023 as rising interest rates and a prolonged freight recession compressed valuations and deal activity. Recovery has been uneven. Early-stage and seed rounds targeting logistics software have rebounded meaningfully, while growth-stage fundraising remains constrained for companies that raised at 2021 valuations and have struggled to grow into them. The defining shift now underway is a rotation away from capital-intensive traditional carriers toward asset-light technology platforms, with private investors increasingly prioritizing scalable margins, contracted revenue streams, and AI-driven operational leverage over physical asset accumulation. Freight technology, autonomous logistics, and supply chain intelligence are emerging as the highest-conviction subsectors for private capital deployment.

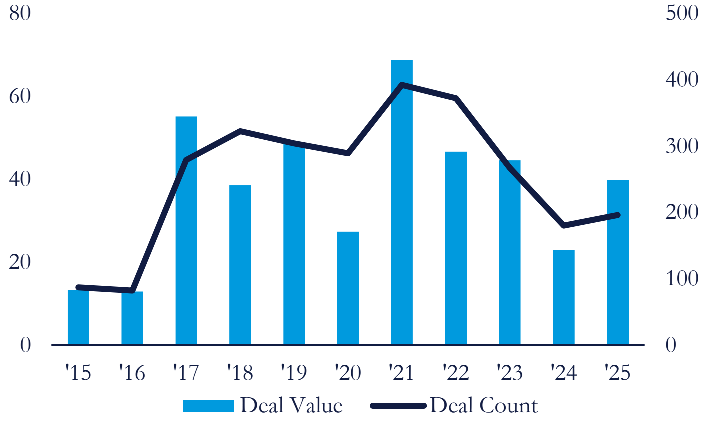
Capital on the Sidelines

Despite a pullback in headline deal activity, private equity dry powder in transportation and logistics remains substantial and is approaching a critical deployment inflection point. Global buyout dry powder reached approximately $1.2 trillion in 2025 per Bain and Company, with 24% held for four years or longer, creating mounting pressure on fund managers to deploy before investment periods expire. T&L is well positioned as a destination given its scale, digitization tailwinds, and structural inefficiencies that technology can address. The conditions most likely to unlock deployment include a freight market recovery, rate stability, and regulatory clarity around the Union Pacific and Norfolk Southern merger. The window between valuation reset and cycle recovery tends to be narrow, and firms that move early into logistics technology platforms stand

T&L EV/EBITDA by Buyer Type



Logistics PE Deal Activity ($B)



Emerging Trends & Risks

Trends:

1) Private capital is rotating away from asset-heavy carriers toward logistics technology platforms, with investors prioritizing scalable margins and recurring revenue over physical asset ownership.

2) Autonomous trucking and warehouse robotics are emerging as high-conviction themes, with institutional backing from Uber, Volvo, and Goldman Sachs signaling confidence in near-term commercialization.

Risks:

1) Trucking overcapacity is not expected to reach equilibrium until 2026, weighing on valuations and constraining deal activity across traditional carrier segments.

2) Many logistics technology companies that raised at peak 2021 valuations have struggled to grow into those marks, creating down-round risk and constraining follow-on fundraising.

Sources: Bloomberg, DHL, Pitchbook, PwC

AI PLAYERS AND EFFECTS

Overview

Artificial Intelligence (AI) has completely reshaped the entire transportation & logistics value chain, from long-haul highway routes to best optimized warehouse organization, last-mile delivery. Largely experimental as recently as 2024, AI has now been able to mature into a measurable, revenue-generating measure that is utilized by T&L companies. The AI-in-logistics market is projected to reach $6.5 billion by 2031 at a 17% CAGR. AI Investment is no longer discretionary, it is a necessity, driven by driver shortages, thin freight margins, and customer expectations. This section covers the AI players across the T&L landscape and the effects of their technologies.

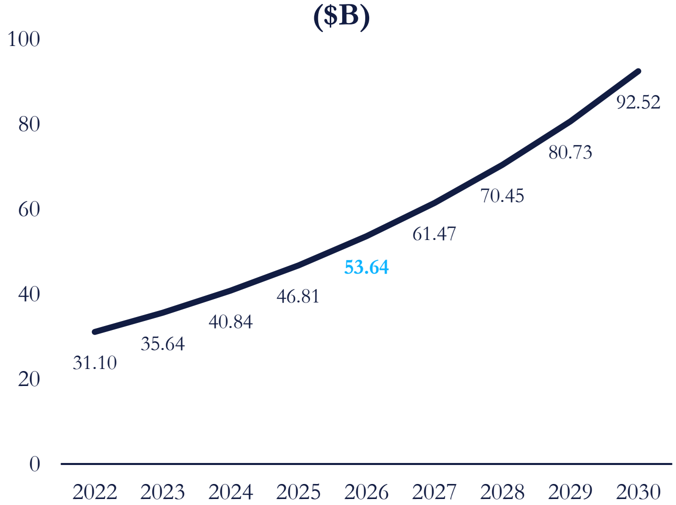
Key Trends

Autonomous Trucking: After years of failed pilots and high-profile exits (such as Embark), autonomous trucking now exists around a small group of commercially viable operators hauling freight on public road. The autonomous long-haul market reached $2.7billion in 2024 and is projected to grow at a 32% CAGR, however the path from dozens to thousands of trucks does come with obstacles.

Warehouse Robotics: The warehouse automation market is projected to reach $106 billion by 2035. Large retailers such as Walmart have worked with startups such as Symbiotic to retrofit regional distribution centers with robotics. On the other side, Amazon Robotics has deployed over a million robots in a closed ecosystem, keeping their advantages to themselves through vertical integration.

Route Optimization: The most mature AI application in T&L, systems such as UPS's ORION and FedEx's Dynamic Route Optimization save the companies hundreds of millions of miles in annual travel. Companies deploying AI routing report fuel savings of 15%, showing the efficiencies at play.

Autonomous Truck Market Size ($B)



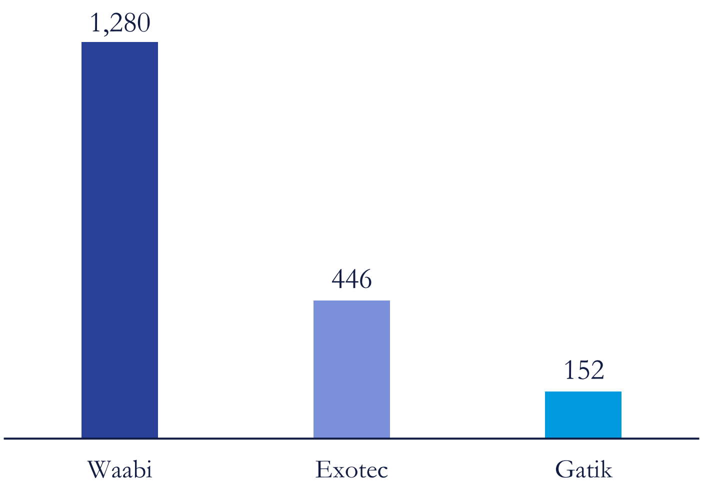
Private Players

Gatik: The most commercially advanced private company in autonomous trucking, differentiated by focus on middle-mile, short-haul logistics, as opposed to long-haul highway corridors. Founded in 2017, became first North American company to deploy fully driverless trucks at scale. Has built $600 million contracted revenue base. Operates 10 trucks across Dallas-Fort Worth, Phoenix, and Northwest Arkansas, planning to scale rapidly in near term.

Waabi: Offers a technically differentiated competitor in autonomous trucking. Focused on simulation-first development, Waabi World uses generative AI to build digital twins of real-world environments, creating billions of driving scenarios for training. Partners include both Volvo and Uber, showing industry belief in their technology.

Exotec: Paris-headquartered warehouse robotics company. Core product is the Skypod system, a robot based automates storage and retrieval system. Skypod robots can be deployed into existing warehouses for a lower cost, giving a competitive advantage. Over 50 brands across 100+ sites world-wide use Exotec.

Total Funding by Company ($M)



Sources: American Trucking Association, CNBC, Company Websites, Pitchbook, TechCrunch

FUTURE PROGRESS

Customs Modernization

The global reach of modern supply chains introduces persistent operational friction, as evolving trade policies, customs and cross-border compliance add complexity at every checkpoint. Substantial regulatory changes are being implemented across trade blocs, increasing difficulty for firms to stay informed and fully compliant. Incorrect or incomplete filings or products data remain a major cause of delays and disruptions. Data readiness is rapidly becoming a baseline expectation, as businesses are required to track and report operations on a far more granular level. Customs authorities have begun integrating AI into enforcement and urging businesses to digitize in parallel. Proactively modernizing customs operations will reduce the most persistent operational bottleneck.

Regulatory Landscape

Nov-2026	Jul-2026	Jul-2027
Section 301's, 178 exclusions will expire unless renewed, reimposing tariffs on a wide range of goods and increasing costs for importers.	USMCA first joint review is mandated to begin and confirm commitment and possibly extend agreement. The agreements governs cross-border commerce.	The One Big Beautiful Bill Act will repeal the statutory basis for the *de minimis* exemption worldwide, permanently impacting global trade.

Reshoring

Though most are familiar with offshoring operations, many companies are now resorting to reshoring production capabilities to their home nation. With the longstanding trend of offshoring, the United States needs to rebuild supply chains to prepare for the coming reshoring trends, driven by geopolitical fragmentation and shifting trade policy. This presents increased opportunity for the United States manufacturing workforce, though adds additional strain to an already short supply of skilled workers. Strategic shoring helps to bring supply chain capabilities closer to consumers and gain greater control over lead times. With rising uncertainty with tariffs, reshoring is one way to avoid major pitfalls.

Warehousing

Logistics executives have determined warehousing and logistics hubs as the top infrastructure investment priority in 2026. Warehousing is evolving beyond a cost center into a strategic asset , specifically with high-value sub-sectors, such as cold storage and secure facilities. Cold chain operations demand precision, with singular Celsius deviation rendering vaccines ineffective or triggering food spoilage. Firms that invest in AI-enabled warehousing and automation stand to capture meaningful competitive advantages as the sector shifts to anticipatory supply chain management.

Vertical Integration

Logistics firms are pursuing more end-to-end control across the value chain, with North America T&L M&A deal value reaching $128.8 billion. With more control of supply chain companies can better protect margins.

Upstream

Infrastructure & Fleet:

- Fleet ownership & maintenance
- Warehouse constructions
- Port operations and terminal operations

Midstream

Operations:

- Freight brokerage and intermodal coordination
- Route optimization
- Trade compliance

Downstream

Services:

- Last-mile delivery methods
- Distribution centers
- Specialized delivery (cold chain, pharma, D2C)

DP WORLD · PROLOGIS · C.H. ROBINSON · XPO Logistics · amazon logistics · ups

Sources: FTI, Maersk, PwC, The White House, World Economic Forum

DEAL ENVIRONMENT

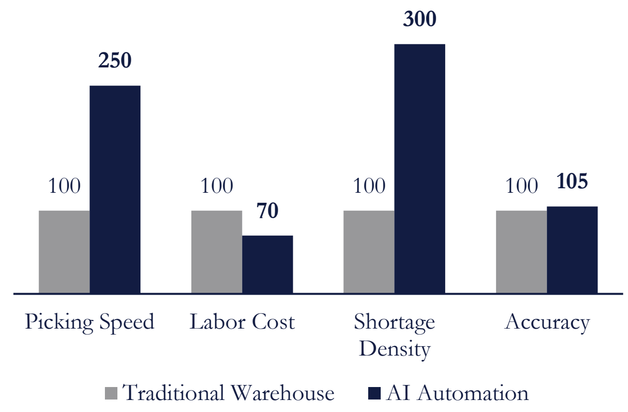
Isuzu Investment in Gatik	
5/14/2024	*$30 Million*
Isuzu Motors	*Gatik*

Exotec Series D Funding	
2/17/2022	*$335 Million*
Goldman Sachs Asset Management	*Exotec*

Isuzu Motors invested $30 million in Gatik to advance autonomous middle-mile logistics solutions in North America. The partnership focuses on deploying Level 4 autonomous commercial vehicles, including the co-development of a safety-enhanced chassis specifically designed for autonomous driving systems. Gatik specializes in short-haul, high-frequency routes between distribution centers, enabling faster commercialization compared to long-haul autonomy, and has already achieved fully driverless operations in select U.S. and Canadian markets. This investment aligns with Isuzu's broader strategy to expand into autonomous driving, connected services, and next-generation mobility, with plans to launch a commercial Level 4 vehicle business by 2027. The collaboration also addresses key industry challenges such as driver shortages, rising transportation costs, and increasing delivery demand. By combining Isuzu's manufacturing scale with Gatik's AI-driven platform, the partnership is well positioned to accelerate adoption and commercialization of autonomous freight solutions. More broadly, the deal reflects growing momentum behind AI-enabled automation as companies modernize supply chains, enhance operational efficiency, and improve overall logistics performance.

Exotec is a global warehouse robotics company focused on AI-driven automation solutions for modern supply chains. Its core product, the Skypod system, is a robot-based automated storage and retrieval system that enables high-density storage, rapid order fulfillment, and flexible warehouse configurations. As supply chains become more complex and demand for faster fulfillment increases, Exotec positions itself as a key enabler of efficient, technology-driven logistics operations.

Impact of AI-Enabled Warehouse Automation



Exotec raised $335 million in a Series D funding round led by Goldman Sachs Asset Management, with participation from 83North and other investors, valuing the company at approximately $2 billion. This capital will support global expansion and continued development of next-generation warehouse automation technologies. This deal matters because it signals a shift within industrial toward AI-enabled supply chain infrastructure rather than traditional, labor-intensive operations. Companies like Exotec are becoming strategic assets for retailers and logistics providers, as businesses need more help in increasingly complex supply chains. As e-commerce demand rises and labor shortages persist, automation and robots are critical to maintaining operational performance and meeting customer expectations

Sources: Bloomberg, Company Filings & Investor Presentations, McKinsey & Company, S&P Capital IQ

STARTUPS/NEW ENTRANTS

AI & Freight Automation

A new wave of AI-native startups is attacking the most labor-intensive parts of freight operations: quoting, booking, carrier communication, and document processing. Companies like Augment, which emerged from stealth with $25 million in seed funding in 2025, are deploying AI agents that handle routine tasks end-to-end without human intervention. The goal is not to replace brokers but to eliminate manual, repetitive work, freeing teams to focus on relationships and high-value decisions.

C.H. Robinson has emerged as the enterprise benchmark, deploying over 30 generative AI agents that automate more than 3 million freight lifecycle tasks annually, compressing carrier email response times from several hours to just over two minutes.

~ 4 hours → **~ 2 min**

Average carrier email response (before) | Average carrier response (after AI)

J.B. Hunt has co-founded a Logistics Venture Lab to partner with AI startups while simultaneously partnering with Google Cloud on predictive freight analytics. The signal is clear: AI in freight brokerage has crossed from optional experimentation to operational necessity.

VC and Startup Funding Trends

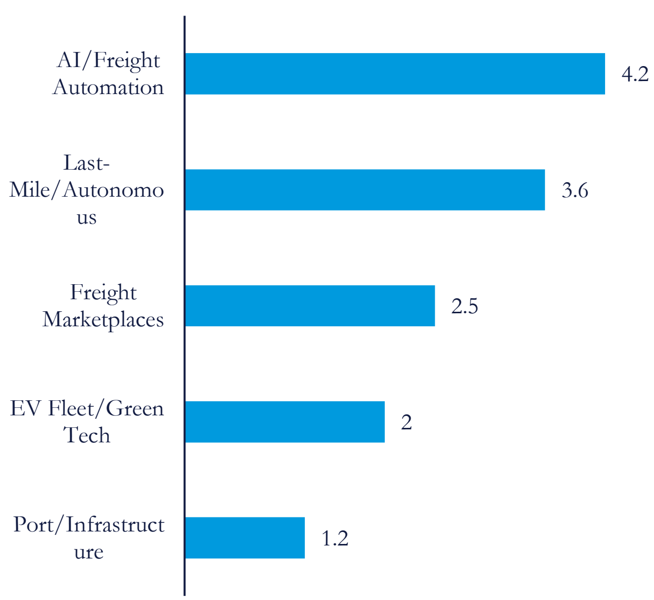
Logistics tech has become one of the fastest-growing categories in venture funding, with capital increasingly concentrated in AI-native freight platforms and autonomous delivery hardware. Unlike previous cycles dominated by marketplace models, the current wave prioritizes operational automation and capital efficiency and regulatory complexity, reflecting the maturity of the technology and the urgency of the labor problem it addresses, particularly in warehousing. Seed and Series A rounds are now structured around proof of automation depth rather than GMV growth. Investors are rewarding startups that demonstrate measurable reductions in headcount dependency and faster cycle times, with the most competitive deals clustering in AI dispatch, dynamic routing, and document intelligence, all areas where switching costs, once embedded, are high.

Last Mile and Autonomous Delivery

Last-mile delivery is where the logistics industry bleeds the most money and where the most interesting bets are currently being placed. It consistently accounts for the majority of total delivery costs on a per-shipment basis, largely because it is geographically fragmented and heavily dependent on human labor. Einride has built electric trucks with no driver's cab, already hauling freight for customers including DB Schenker and Lidl, while Zipline has expanded from drone medical deliveries in Rwanda into U.S. retail and grocery. With labor making up between half and two thirds of last-mile operating costs, and driver shortages projected to worsen significantly through the decade, carriers investing in automation today are hedging against a structural problem that has no obvious non-technological solution.

	Normal / Bear Market	Geopolitical Crisis
Most Alternative Assets	(10%) to +15%	(5%) to (15%)
Freight and Shipping	(30%) to +10%	**+100% to +300%**

Global Logistics VC Activity ($B)



CLOSING REMARKS

Transportation & Logistics as an industry sits at an intersection of structural change and cyclical uncertainty. The themes explored throughout this report: consolidation, regulatory complexity, infrastructure investment, and technological disruption, are not isolated, but connected factors reshaping how goods are moved across the global economy. Understanding these forces is essential to forming an investment thesis on T&L. The M&A cycle, driven by DSV's acquisition of DB Schenker and the Union Pacific and Norfolk Southern merger are completely reshaping the competitive landscape of the industry. Investors will need to be conscious of knock-on effects, how FedEx, UPS, and DHL respond to the new DSC and how CPKC and CN position themselves in the freight rail industry. Still, the physical infrastructure that is vital to global logistics, such as megahubs, continue to have large capital investment, such as Amazon Air's rapid buildout at CVG. Technology may very well be both the greatest opportunity and largest source of uncertainty for incumbents in this space, with players needing to be aware of how to utilize it and not fall behind competitors. Overall, we believe that the most compelling investment opportunities will occur in three key areas: companies with clear operational levers (such as FedEx's DRIVE program), beneficiaries of structural volume growth, and names with an advantage in automation and AI usage. The largest sources of risk come from capital misallocation due to technological. change, prolonged freight delays, and regulatory disruption.

The Spring 2026 BBR Industrials team thanks you for reading our report. We believe that the nature of the T&L industry's essentiality to the American economy ensures there will always be a space, and a role, for the companies operating. The Transportation & Logistics landscape is rapidly changing and the companies that benefit will be the ones who are most adept to this change and can take advantage of it better than competitors.

MEET THE TEAM

Zachary Cohen is a Junior pursuing a combined degree in Finance and Political Science. Zachary brings experience from his role on the M&A Insights team at McKinsey & Co. He also has experience working in private investing, from working at Raptor Group. Zachary recently finished his first co-op at McKinsey & Company on the M&A Insights team.

Zachary will be joining Simon-Kucher as an associate consultant co-op in the healthcare & life sciences department in June,

Rohan Kalaria is an undergraduate student pursuing a degree in Finance. Rohan brings experience from his role as an Investment Banking Analyst at Concordia Capital. Rohan is also an involved member in Scholars of Finance and the Professional Business Fraternity, Delta Sigma Pi.

Rohan will be joining Alkali Partners, a boutique software-focused sell-side advisor in July for his first co-op as an Investment Banking Analyst.

Gonçalo Soares is a second-year pursuing a degree in Data Science and Finance. Gonçalo brings experience from Merck & Co Inc in their Finance Group. Gonçalo currently serves as an Analyst at PEVC Case and Northeastern CASC.

Gonçalo will be joining McKinsey & Company on the Electric Power and Natural Gas Team for his first co-op.

Nora Byrne is a second-year undergraduate student pursuing a degree in Finance. On campus, Nora also serves as president of the Finance and Investment and is an active member of Women in Finance.

Nora will be joining Summit Partners for her first Co-Op as an analyst on the Portfolio Company team.

Gautham Kotha is a second-year Finance and Accounting undergraduate. Gautham brings experience from SLC Management, on their Private Fixed Income team, as well as private equity experience at Kicker Capital.

Gautham is currently on co-op at SLC Management and is looking to pursue another buy-side role in the following cycle.